TOTAL KENYA LIMITED

Annual Report & Financial Statements 2016

OUR **VISION**

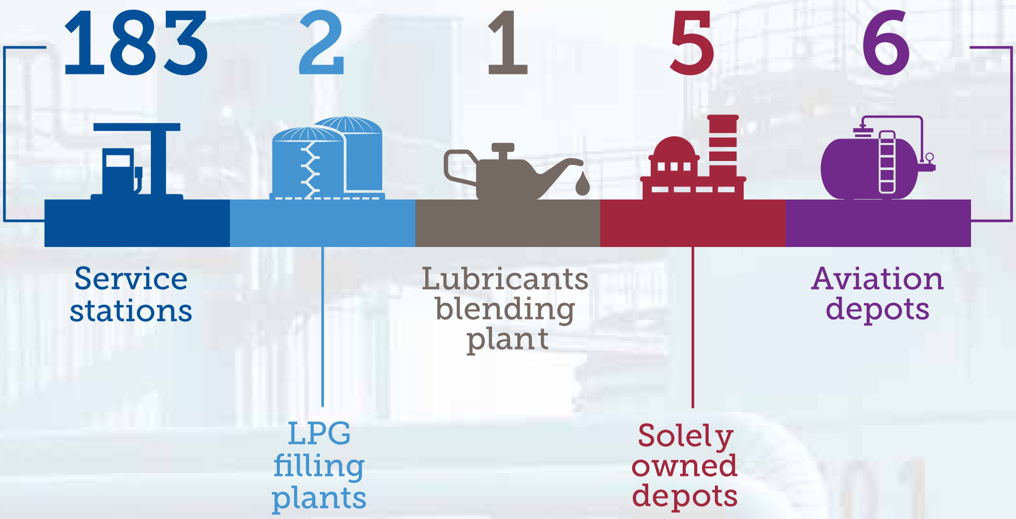
To be a leader in the quality of our products and services.
To be a leader in profitability and return to our stakeholders.
To be the most responsible and preferred company in the region.

OUR **MISSION**

The purpose of Total Kenya is to market quality petroleum products and services to its customers responsibly and profitably in an innovative way to ensure that the public will come and continue to turn to Total.

ABOUT **US**

Total has been operating in Kenya for more than 60 years and is a key part of Kenya's essential services infrastructure. The Company is a market leader in the petroleum sector. Our facilities include more than 183 service stations, 5 solely owned fuel depots, 3 joint depots, 2 liquefied petroleum gas (LPG) filling plants, 1 lubricants blending plant, and 6 aviation depots.



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NOTICE & AGENDA OF THE ANNUAL GENERAL MEETING

TO ALL SHAREHOLDERS

NOTICE is hereby given that the **63rd Annual General Meeting** of the Company will be held at Safari Park Hotel, Thika Road, Nairobi on **Friday, 16 June 2017** at **11.30 a.m.** to transact the following business:-

AGENDA

ORDINARY BUSINESS

1. To read the notice convening the meeting, table proxies and confirm the presence of a quorum.
2. To confirm the minutes of the 62nd Annual General Meeting held on 10 June 2016.
3. To receive, consider and adopt the Financial Statements for the year ended 31 December 2016 together with the Chairman's Statement and the reports of the Directors and the Auditors thereon.
4. To declare a first and final dividend of Kshs 1.06 (2015: Kshs 0.77) per share in respect of the Financial Year ended 31 December 2016 payable to the holders of Ordinary Shares and Redeemable Preference Shares on record at the close of business on 16 June 2017.
5. To approve the Directors' fees for the Financial Year ended 31 December 2016.
6. To individually appoint the following directors who are members of the Board Audit Committee of the Company to continue to serve as members of this Committee in accordance with the provisions of Section 769 of the Companies Act, 2015:-

   a) Dr. Joe Muchekehu
   b) Mr. Joseph Karago
   c) Ms. Margaret Shava
   d) Mr. Jerome Burban

7. To re-appoint Messrs Ernst & Young LLP as Auditors of the Company in accordance with the provisions of Section 719 (2) of the Companies Act, 2015 and to authorise the Directors to fix their remuneration for the ensuing financial year.

SPECIAL BUSINESS

8. To consider and, if thought fit, to pass the following Special Resolutions:-

   a) Change of Company's Name

   "That the name of the Company be and is hereby changed from Total Kenya Limited to Total Kenya PLC in compliance with Section 53 of the Companies Act, 2015."

   b) Adoption of amended Articles of Association in line with the Companies Act, 2015

   "That the regulations contained in the document now submitted to this meeting and, for the purpose of identification, initialled by the Chairman of the Company be and are hereby approved and adopted as the Articles of Association of the Company in substitution for and to the exclusion of all existing Articles of Association thereof."

9. To discuss any other business of which due notice has been given.

NOTE

1. In accordance with Section 298 of the Companies Act, 2015, a member entitled to attend and vote at this meeting is entitled to appoint a proxy to attend, to speak and to vote on his or her behalf. A proxy need not be a member of the Company.

   A Proxy Form may be obtained from the Company's website www.total.co.ke, The Registered office of the Company, Regal Plaza, Limuru Road, Nairobi, P.O. Box 30736 – 00100 GPO Nairobi, or from the offices of the Company's Shares Registrars, Comprite Kenya Limited, Crescent Business Centre, 2nd Floor, Off Parklands Road, Nairobi.

   To be valid, a Form of Proxy must be duly completed by the member and must either be lodged with the Company Secretary, P.O. Box 73248 – 00200 Nairobi email: jmaonga@maongandonye.com or the Shares Registrars on the above address so as to be received by not later than 11.30 a.m. on 14 June 2017, failing which, it will be invalid. In the case of a corporate body, the proxy form must be executed under its common seal.

2. In accordance with Article 144(a) of the Articles of Association of the Company, a copy of the entire Annual Report and Accounts may be viewed at the Company's website at www.total.co.ke or a printed copy may be obtained from the Registered Office of the Company, Regal Plaza, Limuru Road, Nairobi, P.O. Box 30736 – 00100 GPO Nairobi.

BY ORDER OF THE BOARD

J L G MAONGA
COMPANY SECRETARY

Date: 06 April 2017

CORPORATE **INFORMATION**

PRINCIPAL PLACE OF BUSINESS, HEAD OFFICE AND REGISTERED OFFICE
Regal Plaza, Limuru Road
P. O. Box 30736–00100
Nairobi, Kenya

DIRECTORS

Jean-Christian Bergeron*	(Non-executive)	Chairman
Anne-Solange Renouard*	(Executive)	Managing Director (Alternate to Jean-Christian Bergeron)
Alice Mayaka	(Non-executive)	Resigned on 09 June 2016
Aurore Delarue*	(Non-executive)	Resigned on 09 June 2016
Momar Nguer*	(Non-executive)	Resigned on 09 June 2016
Premanand Dhoomon**	(Executive)	Finance Director (Alternate to Anne-Solange Renouard and Jerome Burban)
Maurice K'Anjejo	(Executive)	(Alternate to Stanislas Mittelman)
Stanislas Mittelman*	(Non-executive)	Appointed on 09 June 2016
Dr. Joe Muchekehu	(Non-executive)	Appointed on 09 June 2016
Joseph Karago	(Non-executive)	Appointed on 09 June 2016
Jerome Burban*	(Non-executive)	Appointed on 09 June 2016
Margaret Wambui Ngugi Shava	(Non-executive)	Appointed on 09 June 2016

* French | ** Mauritian

ADVOCATES

Njoroge Regeru and Company
Arboretum Drive, Milimani
P.O. Box 46971-00100
Nairobi, Kenya

Hamilton, Harrison & Matthews
Delta Office Suites, Waiyaki Way
P.O. Box 30333-00100
Nairobi, Kenya

Mohammed Muigai Advocates
MM Chambers, 4th Floor
K-Rep Centre, Wood Avenue
Off Lenana Road, Kilimani
P.O. Box 613323-00200
Nairobi, Kenya

Waweru Gatonye & Co.
Timau Plaza
Argwings Kodhek Rd,
P.O. Box 55207 - 00200
Nairobi, Kenya

Musyimi & Co. Advocates
M'pulla House, Arboretum Drive
Off State House Road
P.O. Box 12502-00400
Nairobi, Kenya

Kiarie Kariuki & Associates Advocates
Bemuda Plaza, 2nd Floor
Ngong Road
P.O. Box 13808-00100
Nairobi, Kenya

Waruhiu Kowade & Ng'ang'a Advocates
Taj Towers, 4th Floor, Wing B
Upperhill Road
P.O. Box 47122-00100
Nairobi, Kenya

Bowyer Mahihu & Co Advocates
Hokmah House
Kirichwa Lane
P.O. Box 4317-00200
Nairobi, Kenya

SECRETARY

J L G Maonga
Certified Public Secretary (Kenya)
Jadala Place, 3rd Floor
P.O. Box 73248-00200
Nairobi, Kenya

REGISTRARS

Comprite Kenya Limited
Crescent Business Centre, 2nd Floor
P.O. Box 63428-00619
Nairobi, Kenya

PRINCIPAL BANKERS

Citibank NA
Citibank House, Upper Hill Road
P.O. Box 30711-00100
Nairobi, Kenya

Standard Chartered Bank Kenya Limited
Chiromo, 48 Westlands Road
P.O. Box 30003-00100
Nairobi, Kenya

Barclays Bank of Kenya Limited
4th Floor, The Westend Building
Off Waiyaki Way, Westlands
P. O. Box 46661-00100
Nairobi, Kenya

Bank of Africa Kenya Limited
Karuna Close
Off Waiyaki Way
P.O. Box 69562 - 00400
Nairobi, Kenya

Stanbic Bank Limited
Stanbic Bank Center,
Chiromo Road
P. O. Box 72833-00200
Nairobi, Kenya

Kenya Commercial Bank Limited
Corporate Services, Moi Avenue
P.O. Box 48400-00100
Nairobi, Kenya

The Co-operative Bank of Kenya Limited
Co-operative House
Haile Selassie Avenue
P.O. Box 48231-00100
Nairobi, Kenya

Commercial Bank of Africa Limited
Mara and Ragati Roads, Upper Hill
P.O. Box 30437-00100
Nairobi, Kenya

AUDITORS

Ernst & Young LLP
Kenya Re Towers, Off Ragati Road
P. O. Box 44286 - 00100
Nairobi, Kenya

REPORT OF **THE DIRECTORS**

The directors submit their annual report together with the audited financial statements for the year ended 31 December 2016, which show the state of the affairs of Total Kenya Limited ("the company").

In accordance with section 42 of the Sixth Schedule Transitional and Saving Provisions, of the Kenyan Companies Act, 2015, this report has been prepared in accordance with Section 157 of the repealed Kenyan Companies Act (Cap 486), as if that repeal had not taken effect.

1. PRINCIPAL ACTIVITY

The principal activity of the company is the marketing and sale of petroleum products.

2. FINANCIAL RESULTS

The results for the year are as follows:

	2016 KShs '000	2015 KShs '000
Profit before tax	3,935,363	2,618,696
Tax charge	(1,701,071)	(1,003,693)
Profit for the year	2,234,292	1,615,003

3. DIVIDENDS

Subject to the approval of the shareholders at the Annual General Meeting, the directors recommend payment of a first and final dividend of KShs 1.06 (2015: KShs 0.77) per ordinary share equivalent to a total sum of KShs 670 million (2015: KShs 485 million).

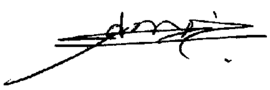
4. DIRECTORS

The directors who served during the year and to the date of this report are set out on page 1.

5. AUDITORS

The company's auditors, Ernst & Young LLP, have expressed their willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

By Order of the Board



Secretary

28th March 2017

STATEMENT OF THE
DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the company as at the end of the financial year and of their profit or loss for that year. It also requires the directors to ensure that the company maintains proper accounting records that are sufficient to show and explain the transactions of the company and disclose, with reasonable accuracy, the financial position of the company. The directors are also responsible for safeguarding the assets of the company, and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

(i) Designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;

(ii) Selecting suitable accounting policies and applying them consistently; and

(iii) Making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Director

Director

28th March 2017

COMPANY **PROFILE**

CORPORATE STATUS

Total Kenya Limited is part of the Total Group. Total is a global integrated energy producer and provider, a leading international oil and gas company, and the world's second-ranked operator with SunPower. The Group is a sector leader in Africa with an estimated 17% of market share. Total is deeply rooted in Kenya's economy and society, with long term investments amounting to many billions of shillings. Total has been operating in Kenya for more than 61 years. Total Kenya was the first oil company to be quoted on the Nairobi Securities Exchange and is a key part in Kenya's essential services infrastructure. It is one of Kenya's largest revenue generators.

CORE BUSINESS

Total Kenya's core business is the marketing and distribution of petroleum products and related services to industry, transport, commercial and domestic users throughout Kenya.

MAINSTREAM PRODUCTS

Mainstream fuel products include Total Excellium Petrol/ Diesel, liquefied petroleum gas (LPG), dual-purpose kerosene (both illuminating kerosene and jet A1), aviation fuel (Avgas), industrial diesel and fuel oil. The range of lubricants includes high-performance engine and transmission oils and greases for all applications in automotive and industrial machinery of all kinds.

The Company also markets car care products such as engine coolants, distilled water, brake fluids, cleaning compounds, auto shampoos, dashboard cleaners, air fresheners and is now actively involved in the provision of clean energy solutions with the revolutionary solar lanterns and solar home systems to power domestic devices.

LOGISTICS AND FACILITIES

All of Total's facilities conform to international standards, especially in relation to personnel, customer, environmental and equipment safety, through built-in designs, the integrity of equipment and strict operational codes. A lot of attention is paid to industrial safety with the key objective being the achievement of zero accidents in all facilities.

These systems are reinforced by training and maintained by constant monitoring and special inspection. All our facilities have received certification for conformity with high standards of quality, safety and environmental protection.

GROWING NETWORK OF STATIONS

Total Kenya has the widest network of stations having invested in 9 new Stations in 2016 to bring the total number to 183. The stations are spread across the country availing Total's high quality products and services closer to the consumers and local communities. All Total stations are ISO certified and are constructed to the highest safety, health and environmental standards. Our service stations are a one-stop shop offering a wide range of high-quality products and services. The products include Excellium Fuels, Lubricants, Car Care products, LPG and Solar Lanterns. For enhanced customer experience and convenience we have well-stocked Bonjour Shops which offer groceries, coffee & other drinks and snacks amongst others. Other facilities include banking services, chemists, car wash, service bays, restaurants and mobile money services.

COMPANY **PROFILE**

TOTAL EXCELLIUM FUELS

In line with the commitment to provide better energy to Kenyans, Total Kenya launched a new generation of fuels, Excellium Petrol and Diesel, in December 2016. This is revolutionary and an unmatched set of additivised high-quality fuels that clean your engine km after km. Excellium fuels provide long-lasting protection to engines, ensure that they perform better, use less fuel, reduce up to 93% of deposits build up and produce fewer polluting emissions.

Excellium fuels are a culmination of many hours of engine lab tests, thousands of kilometers driven and more than 500 formulas that enabled the development of the 6 molecules comprised in the Excellium formulation. Excellium fuels are suitable for both old and new models of vehicles.

LUBRICANTS

Total is the leading supplier of lubricants in Kenya. Through continued research and product development, Total continues to introduce high-quality lubricants to meet the evergrowing consumer needs. Our modern lubricants blending plant in Mombasa serves the Kenyan market and the entire Eastern Africa region. Total's Test Diagnostics Lubricants Laboratory in Nairobi offers oil analysis services to our bulk customers for quality assurance.

LIQUEFIED PETROLEUM GAS (LPG)

The Totalgaz range is the leading LPG brand in Kenya. Total Kenya was the first to introduce the lower-cost 6kg cooking/ lighting unit under the brand name of Total Meko, revolutionizing cooking and lighting. The ultra-modern filling and storage plant in Nairobi serves the LPG demand locally and in the region. The Total Maskani concept, another first, aims to bring our LPG products even closer to our customers.

TOTAL FUEL CARD

Total Fuel Card, popularly known as the Bon Voyage Card (BV Card) is the most established fuel card in the market having been introduced by Total Kenya in 1997. It is also the leading fuel card in Kenya by customer base . BV card was upgraded in 2003 with the micro-chip technology that has enabled it to have very advanced security features. Some of its modern and advanced security features include vehicle tagging, remote PIN unblocking and real time parameter changes including limit adjustment.
In 2017, Total Kenya will celebrate 20 years of the BV Card's existence in the Kenyan market.

SOLAR

The Total Sola lanterns have greatly improved the quality of life for Kenyans with no access to electricity and are also a handy companion during power outages. Total Kenya has expanded its range that now includes S300, S20B, S2B and the D30 solar home system, all of which are available at Total service stations and other authorized distributor outlets countrywide.

CORPORATE **GOVERNANCE**

INTRODUCTION

Corporate Governance (CG) is the system of rules, practices and processes by which companies are directed, controlled and held to account. It essentially involves balancing the interests of the company's varied stakeholders. CG standards are set to improve value to our stakeholders by ensuring we remain transparent, accountable in our conduct, responsibly structured, responsibly operated and deliver accurate financial information.

The Company is guided by and always strives to comply with the applicable laws and regulations notably the Kenyan Capital Markets Authority (CMA) code of corporate governance known as the Code of Corporate Governance Practices for the Issuers of Securities to the Public 2015 (the 2015 Code).

Total Kenya Limited, through the commitment of Directors, the establishment of Board Committees, the setting and implementation of policies and guidelines, aims at complying with the highest CG standards. CG standards and performance are regularly reviewed to ensure that the Company is always up to date in this dynamic field and remains compliant.

In addition, the Company appointed an Ethics Officer as well as a Compliance Officer with specific mandates to spearhead efforts towards mitigating compliance risk both internally and with third parties who deal with the Company.

THE BOARD OF DIRECTORS

A. THE BOARD OF DIRECTORS CHARTER

On 26th October 2016, the Board of Directors validated its own Charter.

The Board developed this Charter in order to document its corporate governance practices and principles, in recognition of the role of good governance in corporate performance, maximization of shareholder value, protection of investors' rights and to promote the company's standards of self-regulation.

The Charter explicitly defines the composition, role, scope, mandate, Board members selection, requirements and the duties of Board members. Any amendments to the Charter require the approval of the Board.

B. BOARD STRUCTURE AND DIVERSITY

The Board is currently composed of seven directors, three of whom are independent directors.

Diversity is of key importance to the Board's composition; as such it remains particularly attentive to its constitution by offering a diverse and synergistic range of qualifications, skills, experience, professional and industry knowledge to enable it to provide judgment independent of management on material Board matters. The Board determines its size and composition subject to the Articles of Association, Board Charter and applicable law. This facilitates effective discussion and decision making.

C. ROLE OF THE BOARD

The Board of Directors is the ultimate authority of Total Kenya. Its role is to define Total Kenya's strategic vision, ensure that internal controls are operating effectively and oversee the quality of the information provided to shareholders and financial markets.

The Board has delegated authorities to two Board committees (Audit Committee and the Risk & Governance Committee) to assist the Board in delivering its responsibilities and ensuring that there is appropriate independent oversight of internal control and risk management. Each of these committees has established terms of reference which shall be reviewed regularly to ensure that they remain in line with the best practices and that the committees continue to have appropriate authority to fulfill their responsibilities without creating unnecessary duplication of work.

D. INDEPENDENCE

Independence is critical to performing the duties of a director as this ensures freedom of analysis, judgment, decision-making and action. All Board members have to comply with the Board's rules and declare any personal or potential conflict of interest that may arise.

The Board of Directors of Total Kenya is guided by the Conflict of interest Policy and the Code of Conduct that are developed by the Group, customized and adopted by Total Kenya.

E. CHAIRMAN AND MANAGING DIRECTOR

The roles of the Chairman and Managing Director are separate and clearly defined. The scope of these roles is approved and kept under regular review by the Board so that no individual has unfettered decision making powers. The Chairman is responsible for the leadership and governance of the Board while the Managing Director is responsible for the management of the Company and implementation of strategy and policies approved by the Board.

F. ACCESS TO INFORMATION AND INDEPENDENT ADVICE

Through the Board Chairman and the Company Secretary, processes are in place to:

- Enable Directors to have access to all relevant information and to senior management within reasonable time
- Assist the Directors discharge their duties and responsibilities
- Facilitate informed decision making

Directors are expected to strictly observe the provisions of the statutes applicable to the use and confidentiality of information, including the Company's Insider Trading Policy.

G. MEETINGS

The Board generally meets four times annually and with additional sittings as necessary to consider all matters relating to overall control, business performance and company's strategy. The Chairman, in conjunction with the Managing Director and the Company Secretary, set the agenda for each meeting.

In the ordinary course of business, Board papers are circulated prior to the meetings. Directors are entitled to request additional information where they consider further information is necessary to support informed decision making.

During the year ended 31 December 2016, the Board held four board meetings. Details of Directors' attendance at board meetings are set out below:-

Name of Director	Eligible No. of meetings	No. of meetings attended	Overall % attendance
Chairman			
Jean-Christian Bergeron	4	4	100%
Executive director – Managing Director			
Anne-Solange Renouard	4	4	100%
Non- Executive directors			
Stanislas Mittelman*	3	1	33%
Jerome Burban*	3	2	75%
Aurore Delarue**	1	-	-
Alice K. Mayaka**	1	1	100%
Momar Nguer**	1	-	-
Independent Directors			
Joe Muchekehu*	3	3	100%
Joseph Karago*	3	3	100%
Margaret Wambui Ngugi Shava*	3	3	100%
Alternate Directors			
Premanand Dhoomon		4	
Maurice Odhiambo K'Anjejo		4	

Notes
* Were eligible to attend three meetings during the year from the date of their appointment on 9 June 2016.
** Were eligible to attend one meeting during the year prior to the date of their resignation on 9 June 2016.

(The profile of directors including the skills and experience they bring to the Board are provided on pages 18 & 19)

CORPORATE **GOVERNANCE**

BOARD COMMITTEES

A. THE BOARD AUDIT COMMITTEE

The Capital Markets Act (Cap. 485A) and regulations require that "the Company shall have an effective and properly constituted Audit Committee" and that "the Board shall establish an Audit Committee with written terms of reference."

The Board Audit Committee assists the Board of Directors in fulfilling its Corporate Governance and oversight responsibilities for the:

- Financial reporting process
- System of internal control
- Audit function & process
- Company's process for monitoring compliance with laws, regulations and the code of conduct

The Board Audit Committee Charter clearly spells out the composition, role, scope, mandate, requirements and the duty of the Committee and its members. Any amendments to the Charter require the approval of the Board. This Committee is composed of four directors and is headed by an independent director. In selecting the members of the Committee, the Board pays particular attention to their financial and accounting qualifications and experience.

During the year 2016, members of the committee were:

	Name		Position	
1.	Dr Joe Muchekehu	-	Chairman	(Independent Director)
2.	Mr Joseph Karago	-	Member	(Independent Director)
3.	Ms Margaret Shava	-	Member	(Independent Director)
4.	Mr Jerome Burban	-	Member	(Non-Executive Director)

The Company's Chief Internal Auditor is the Secretary to the Board Audit Committee. The committee held three formal meetings in 2016 attended by the external auditors when discussing the Company accounts. The committee also meets with the Managing Director and the Finance Director as and when requested for, performs inspections and interviews company managers at any time deemed necessary.

The principal responsibilities of the Committee are to:

i) Monitor the integrity of the financial statements including the review of half and full year results, annual reports and accounts and other significant financial announcements and review the critical accounting policies, going concern assumption and key judgmental areas contained therein.
ii) Consider and advise the Board in meeting its obligation to report that Annual Report is fair and provides the information necessary for shareholders to assess the Company's performance, business model and strategy.
iii) Monitor auditor's independence and external auditor's plans and audit strategy, the effectiveness of the external audit process, the external auditor's qualifications, expertise and resources, and make recommendations for the re-appointment of the external auditor.
iv) Approve the internal audit plan and resources, and monitor the audit framework and effectiveness of the internal audit function.
v) Monitor the effectiveness of compliance processes and controls, and performance against the Company's compliance plan.

B. THE BOARD RISK AND GOVERNANCE COMMITTEE (BRGC)

The Board Risk and Governance Committee (BRGC) assists the Board of Directors of Total Kenya in fulfilling its management's responsibility with regards to the uncertainties the Company faces. This includes all external and internal events, acts or omissions that have the potential to threaten the success and survival of the Company. The Committee's roles and responsibilities are to:

- Ensure the executive team has identified and assessed all the inherent risks in the Company and has established mitigating measures.
- Ensure the division of risk-related responsibilities to each board committee as clearly as possible, performing a gap analysis and approving the company's risk management framework.
- Assist the Board of Directors by reviewing and making recommendations on the effectiveness of the organization governance structure and general by-laws.
- Ensure the control procedures and systems established within the Company are designed to manage rather than eliminate the risk of failure to meet business objectives. The risk framework requires that all of the Company's business and functions establish processes for identifying, evaluating and managing the key risks.
- Receive and review the Company's internal audit reports on the risk management function.

Total Kenya Management has implemented a Risk Mapping and Management program since 2014. Under this program, Management has identified environmental and internal risk factors that can hinder the Company from achieving its overall objectives. Mitigation action plans have been developed and regular reviews are undertaken to track the progress of the mitigation actions and to identify any emerging risks.

BRGC comprises of three or more directors as determined by the Board. The membership includes a combination of executive and non-executive directors. The committee may include non-directors as members. Each member has an understanding of risk management expertise commensurate with the company's size, complexity and capital structure. Committee members are appointed by the Board for 3 years.

The BRGC, meeting at least half yearly, was established in 2016 and ratified by the Board on 28 March 2017. The members of the Risk and Governance Committee are as follows:

Name	Position	
1. Ms Margaret Shava	- Chairperson	(Independent Director)
2. Mr Joseph Karago	- Member	(Independent Director)
3. Ms Anne-Solange Renouard	- Member	(Managing Director)
4. Mr Premanand Dhoomon	- Member	(Finance Director)
5. Mr John Maonga	- Secretary	(Company Secretary)

POLICIES

CODE OF ETHICS AND CODE OF CONDUCT

As guided by the Ethics, Business Integrity and Compliance Directive set by Total Group, Total Kenya is committed to establishing of long-term relationship with all stakeholders including customers and distributors, suppliers and contractors, host countries, local communities, business partners, shareholders, investors and the civil society at large.

The Company's ethical commitment is based on the following three shared values that guide its activities;

Respect: the source of sustainable, trust-based operations and relations.

Responsibility: towards others and in our jobs.

Exemplary conduct: which underpins the internal and external credibility of our actions.

All employees, suppliers, contractors and business partners are expected to understand, respect and apply standards and business principles outlined in the code of conduct.

Total Kenya adheres to the Total Group's Compliance Program. It calls for a zero tolerance approach to corruption, fraud and anti-competitive practices and adheres to the highest standards of integrity. Employees and all stakeholders are expected to prevent, identify, report and address situations that might cross the line as soon as they arise. Total Kenya also respects all applicable national and international laws and norms. Where there is a difference between a legal requirement and our code of conduct, we seek to apply the higher standard.

To guide relations with suppliers, contractors and third parties, anti-corruption, anti-fraud and anti-competitive clauses are included in all contracts signed. A due diligence exercise is also concluded before initiating any formal relations with any third parties. Training via e-learning is also made available to all our stakeholders.

Identifying and reporting existing or potential conflicts of interest by employees allows risks to be managed. Potential conflicts of interest can be minimized by avoiding acquiring any interest in the business of a competitor, supplier or customer without prior written approval from management. Employees are also required to declare and in some cases seek approval for gifts, hospitality, donations and sponsorships to and from business partners. This is done through an electronic Gift and Hospitality register.

The Company is committed to respecting internationally recognized Human Rights standards especially those relating to employees' working conditions within all its diverse operations. A non-discriminatory recruitment program based solely on our requirements and the specific capabilities of individual applicants coupled with zero tolerance to harassment makes for a diverse and well motivated workforce.

CORPORATE **GOVERNANCE**

Since 2015, Total Kenya along with other Total affiliates has celebrated United Nations International Anti-Corruption and Human Rights Day through a Business Ethics day. The day is marked by presentations on ethics and its application in our business. The 2016 Business Ethics Day was themed ''Supply Chain challenges''.

The Total Group has also published several standards and documents like the Total Human Rights Guide and the Business Integrity Guide that provide direction for all affiliates including Total Kenya.

A. HEALTH, SAFETY, SECURITY, ENVIRONMENT AND QUALITY POLICY

Total Kenya considers health protection, safety of operations, security of people, assets and data, respect of the environment, customer satisfaction and listening to stakeholders as paramount priorities.

In compliance with laws, statutory legislations and the Group's Health, Safety, Environment, Quality Charter, Total Kenya is committed to the prevention of accidents to people and property, fire, security incidents, pollution and damage to the environment, improvement of customer feedback processes, product contamination, delayed or underdeliveries.

The Management will ensure the achievement of the highest standards of operation by pursuing the following actions for continual improvement:

1. Promoting among its employees a **shared culture** of professionalism, rigorous compliance and application of regulations, skills management, incidents feedback and continuous learning. This approach relies on the **vigilance** and commitment of all;
2. Selecting its **industrial and business partners** on the basis of their ability to apply policies similar to those of Total Kenya concerning health, safety, security, environment, quality, compliance and societal measures;
3. Identifying and analyzing continuously and systematically **HSEQ risks** and security threats in our operations and installations including depots, plants, service stations, offices, transport fleet and customer premises with the aim of providing and implementing **appropriate response**, and responsibly ensuring security, in compliance with the Voluntary Principles on Security and Human Rights
4. Implementing an **Integrated Management System** to ensure **smooth and safe operations** through structured documentation reviewed regularly, Management reviews and a Safety Management System for **transport** operations;
5. **Training** employees, service station dealers, managers and staff as well as third parties on site, transporters, drivers, contractors and customers on Health, Safety, Environment, Quality Standards;
6. Ensuring systematic compliance with the 12 **Golden Rules** by its employees, business partners (stations, customers, third parties) and contractors;
7. Carrying out health, safety, security, environment and quality **audits/checks** at our depots and offices, service stations, bulk customers' premises, third parties facilities and developing appropriate **action plans**;
8. Implementing prompt and systematic **emergency response plans**, with regular exercises and drills;
9. Analyzing systematically the impacts of our activities on the environment and our neighboring communities and applying sustainable solutions; it includes managing our energy consumption, emissions in natural environment (water, air, soil), production of final waste, use of natural resources and impact on biodiversity to **enhance energy efficiency and reduce environmental footprint**;
10. Through our **societal commitment**, contributing to the sustainable development of neighbouring communities, with focus on human, economic and social issues.
11. Leveraging on technology to enhance **customer feedback** process.

Each and every team member must be aware of their role and responsibilities in the practice of their duties. Individuals must demonstrate the strictest operational discipline in preventing accidents and deliberate damage, in protecting health, environment, product and service quality whilst addressing stakeholder expectations. Rigor and exemplarity in these fields are important criteria in evaluating the performance of each member of personnel, in particular for those in positions of responsibility.

Total Kenya has established, documented and maintains a Quality Management System and continuously improves its effectiveness in accordance with the requirements of ISO 9001:2008. The system is applicable to receiving, storage, handling and distribution of petroleum products, LPG and LPG accessories, car care products, solar lanterns and lubricants diagnostic laboratory services. Of particular note regarding quality is:

- **Fuel quality checks** at all steps of the supply chain (reception in Mombasa, storage depots and stations).

- **Lubes quality checks** are provided for the full range of lube oil, for any automotive and industrial application. From a simple oil sampling, **TOTAL ANAC** (for ANAlysis Compared) establishes a diagnosis of all mechanical parts (engine, transmissions, hydraulics) of a customers' equipment without need to disassemble.
- **Solar product line warranty -** our high quality solar lanterns come with one / two-year warranty.
- **LPG cylinders checks -** all our LPG cylinders undergo thorough inspection at the filling plant for defects at every refill and a mandatory requalification after every 8 years through hydraulic pressure tests.

In addition to the requirements of the Kenya Environmental Management & Co-ordination (Waste Management) Regulations (2006), also referred to as The Waste Management Regulations (2006), Total Kenya has come up with and put in place a detailed and specific policy on how to reduce production of and manage waste that is generated during operations in all our facilities.

To manage oil waste at service stations and depots, Total Kenya is part of an industry initiative, coordinated by the Petroleum Institute of East Africa (PIEA) that has appointed waste oil collection agents. The agents collect the waste oil upon request and manage its disposal through re-use in boiler furnaces that have the capacity to degrade metals in the oil that are heavily polluting if released to water reservoirs or soils.

Our commitment to proper disposal of waste also extends to electronic waste. To manage its Waste Electrical and Electronic Equipment (WEEE) that is mainly comprised of computers and printers, Total Kenya has partnered with Computer for Schools Kenya (CFSK) to provide computers that are no longer in use to schools across Kenya that lack adequate resources. CFSK collects the computers and refurbishes them before distributing them to needy schools.

Total Kenya is committed to the highest standards of energy efficiency, conservation and sustainable development in its operations. In compliance with local laws and regulations and the Total Group's Health, Safety, Environment, Quality and Sustainable Development Charter, Total Kenya has put in place an Energy Management Policy which complies with and has been approved by the Energy Regulatory Commission.

B. CONFLICT OF INTEREST POLICY

Total Kenya Directors and Employees are expected to disclose any conflicts of interest. Identifying and reporting existing or potential conflicts of interest allow risks to be managed. They make mandatory and formal annual declarations to confirm that they are not involved in activities that may violate this policy and to disclose any potential violations.

C. COMMUNICATION TO STAKEHOLDERS

Total Kenya has put in place processes and guidelines for employees on communication (who, how, when, what, …) to stakeholders that include customers, shareholders, business partners, authorities and employees.

Engagement with main stakeholders is as below:-

Customers
Total Kenya values and is keen to maintain good relations with all its customers.

At the heart of this interaction is a customer-centric team of territory and account managers and customer attendants who are motivated to provide services at its highest level.

In 2016, we hosted a number of seminars with our customers across our business lines (network station dealers, general trade, lubes, aviation, LPG and card customers) to bring them up to speed on new products offerings and processes while allowing sharing of customer feedback.

A dedicated customer service and call center at our Head Office caters to customer requests with utmost precision thanks to a state-of-the-art customer relationship management system that automates tracking of requests.

Total Kenya has embraced technology as a means to enhance customer satisfaction and convenience. Customer portals (Total Card extranet, e-fuel, e-lube, e-solar) facilitate making and follow up of orders online.

Shareholders
The Company provides timely and appropriate information to shareholders through publication of periodic accounts and the Annual Report. Communication to shareholders is largely through the Annual General Meeting. Shareholders are also advised of all important events that impact the Company's operation.

Business partners
We value our relationship with our business partners who are key in enabling us achieve our business objectives and we strive to work in an equitable and fair manner. As part of our commitment, we ensure that contracts are in place and adhered to.

In 2016 we held seminars and meetings with our key business partners that provided an opportunity for exchanging ideas, getting feedback, discussing emerging issues and building stronger relationships. In line with our Code of Conduct and Safety Policy, a special emphasis is laid on Safety and Compliance during these engagements.

Authorities
Total Kenya engages authorities at various levels to ensure that our daily operations run smoothly and in compliance with the local laws. Total Kenya is also a member of many organizations representing the industry in various areas. Among them are the Petroleum Institute of East Africa (PIEA), Supplycor and LPG Exchange Pool. Through continuous engagement with these organizations, the company contributes to the definition, at an industry level, of proposals to address key matters and improve the business environment.

Employees
Communication with employees is vital to achieve company objectives. Through staff forums, seminars, surveys, staff bulletins, intranet, newsletters, individual performance reviews and management keeps the employees informed of the company strategy, objectives and performance. These media also provide a conducive environment for employees to provide feedback, express ideas and raise concerns. These interactions allow for continuous improvement in our working environment.

As part of Total Group we share the following five core values, which describe and unite us:

Safety
Safety is a value that we respect above everything else because it is the core component of an industrial company's responsibility. It is also the foundation of our long-term viability. This core value is amplified in our safety credo: 'Safety For Me, For You, For All'. We are uncompromising when it comes to safety.

Respect for Each Other
Respect for each other puts people at the center of our collective responsibility. It means listening to each other, recognizing and embracing diversity. It takes into account ethics, honesty, business integrity and upholding human rights and as a result, the rejection of corruption, fraud and unfair practices with regard to our competitors, in any form.

Pioneer Spirit
Pioneer Spirit is a trait we have always displayed, through our boldness and courage in conquering new territories and innovating. This is our ability to innovate from a technical, business, people, strategy and geopolitical standpoint. It is in equal parts equivalent to boldness, ambition and courage which results to knowing when to adapt, how to overcome adversity and how to be agile.

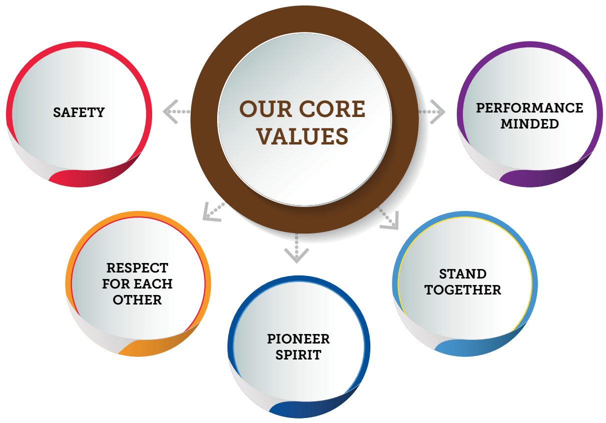
Stand Together
Stand Together is the powerful bond that unites us within Total. It means being loyal to and trusting each other. We draw support from our strength as a team. "Stand Together" means "think Total," act in its best interests and defend it when it is under attack from the outside.

Performance Minded
Performance-minded is an attitude that reflects the disciplined way we work and our refusal to settle for anything less than the best. We are a global industry leader thanks to our strong competencies, commitment to operational, technical and technological excellence, and our performance-minded attitude. This performance-minded approach is what influences our desire to innovate and, like our other values, will enable us to achieve our collective ambition of becoming the responsible energy major.

These values are our backbone and define our way of doing business, interacting with each other and making decisions.

One of the key responsibilities of the management is to ensure the employees have the means to carry out their duties. In this aspect Total Kenya defines annual training plans based on required competencies and identified needs for each employee to grow and build capacities for future career path.

Safety, Compliance, management skills, technical and job related skills are the main focuses while developing the training plans. On average, employees are spending 4 days of training sessions both locally and internationally per year.



D. RELATED PARTIES TRANSACTION POLICY

Total Kenya has developed a transfer pricing policy which was validated by the Board and covers all transactions with related parties.

E. COMPLIANCE PROGRAM

Total Kenya Compliance program comprises of three pillars namely: Anti-fraud, Anti-trust and Anti-Corruption policies. The company has a zero tolerance approach on these issues and adheres to the highest standards of integrity. Employees must build sound relationships with all stakeholders and prevent, identify and address situations that might violate these policies.

F. WHISTLE BLOWING POLICY

Total Kenya has put in place specific guidelines in relation to whistle blowing, creating awareness and enforcing compliance. An Ethics Officer and a Compliance Officer are the first line responsible to ensure matters raised are adequately handled and in a confidential manner.

G. ANTI-MONEY LAUNDERING POLICY

The Company fully complies with anti-money laundering and anti-terrorism funding activities, by implementing internal control procedures and working with vetted banks.

H. GROUP SANCTIONS POLICY

Through the Economic Sanctions and Export Control Unit of the Compliance and Corporate Social Responsibility and Legal Departments, the Total Group directs all its affiliates on how to deal and comply with applicable economic sanctions and export control regulations. Total Kenya conforms to this directive.

I. PROCUREMENT PROCEDURES

Policies and guidelines are in place to ensure that goods and services supplied to the Company are through the competitive means, are of the specified quality, delivered in the required quantity on time and at the right place in pursuit of satisfying the internal and external customer needs.

J. INFORMATION TECHNOLOGY (IT) CHARTER

Total Kenya has implemented a charter for IT and communication resources. This charter highlights the reference systems, guidelines and other documents to users, focusing on the integrity, ensure smooth management and security of the IT and communication resources.

K. INSIDER TRADING POLICY

The Insider Trading Policy of the Company ensures that adequate controls are implemented to protect sensitive data and documents. The main objectives of the policy are to:

- Define and communicate conduct that may constitute insider trading
- Ensure that insiders do not trade in the securities of the Company while they are in possession of insider information
- Restrict and control the flow of insider information from insiders who receive such information in the course of their directorship or employment
- Promote the company's business interest in maintaining an impeccable reputation for integrity and compliance with the law and best corporate governance standards

Jean-Christian Bergeron
Chairman of the Board

Anne-Solange Renouard
Managing Director

Joe Muchekehu
Independent Director

Joseph Karago
Independent Director

BOARD DI

Premanand Dhoomon
Finance Director

Margaret Wambui Ngugi Shava
Independent Director

Maurice K'Anjejo
Corporate Affairs Manager
and Alternate Director

John L.G Maonga
Company Secretary

OF RECTORS

*Other Members Include

Stanislas Mittelman
Non-Executive Director

Jerome Burban
Non-Executive Director

DIRECTORS' **PROFILES**

Mr. Bergeron, aged 51, has over 25 years of experience in sales and marketing. He holds a Business School Degree from Audencia, France. Jean-Christian joined Total in 1990 and has served in various capacities in retail sales, project management and business strategy. In addition to various business responsibilities in France and Europe, he also served in Pakistan from 2000 to 2003 and in Cameroon from 2006 to 2009 as the Managing Director. In 2013, he was appointed as Executive Vice President for Retail, a position he held until 2015 when he was appointed to his current position as Executive Vice President for East & Central Africa. He was appointed as a company director and Chairman of the Board on 15th September 2015.

Mr. Mittelman, aged 51, has served in various capacities in the Total Group from the year 1990 to date. He is currently the Senior Vice President of the Africa and Middle East Division of the Total Group. Stanislas graduated from France's EDHEC Business School and was appointed as a company director on 9th June 2016.

Ms. Anne-Solange Renouard, aged 45, is a graduate of ESSEC Business School in France and Institute of Political Studies of Paris, France. She joined the Total Group in 1996 and has worked in different positions in logistics, audit, strategy, management control and marketing. She became Managing Director of Total Mauritius in 2012, a position she held until 1 November 2015 when she was appointed Managing Director of Total Kenya. She is a member of the Risk and Governance Committee of the Board.

Dr. Muchekehu, aged 66, is a fellow of the Institute of Certified Public Accountants (Kenya) and an Associate Member of the Institute of Certified Public Secretaries (Kenya). Dr Muchekehu has key skills in auditing, accounting, financial management, strategic consulting & management, corporate governance, corporate management and business consulting. Dr. Muchekehu graduated from the London School of Accountancy and he attended Biola University-Talbot School of Theology. He was appointed as a director of the Company on 9 June 2016. He is the chairman of the Audit Committee of the Board.

Mr. Joseph Karago aged 54, is a Registered Practising Architect, and has expertise in strategy & policy formulation, programme & project formulation, technical audit project management, general management and team building. He holds a Bachelor of Architecture degree from the University of Nairobi and is a member of the Institute of Directors. He was appointed as a director of the Company on 9th June 2016 and currently is a member of both the Audit and the Risk and Governance Committees of the Board.

DIRECTORS' **PROFILES**

Mr. Premanand Dhoomon, aged 54, is a Fellow member of the Chartered Association of Certified Accountant (ACCA). After five years spent in accounting and auditing practice, he joined in 1992 the Finance Department of Esso Mauritius Limited. Following the take-over of Esso activities by Total Mauritius in 2005, he was appointed as Finance Manager of the merged entities. In 2009, he joined the Group Audit Department in Paris and in 2012 he was appointed as the Marketing & Services Branch Fraud Risk Prevention Coordinator, a position he held until his appointment as Finance Director of Total Kenya Limited in May 2015. Premanand is also the Compliance Officer of the Company and a member of the Risk and Governance Committee of the Board.

Ms Margaret Shava, aged 52, is an advocate of the High Court of Kenya, a practicing advocate, an independent consultant and a Certified Public Secretary (Kenya). Margaret has over 23 years working experience in law, management, legal consultancy and peace building & transitional justice. she has worked in various economic sectors, united nations organization and national & international non-governmental organizations. Margaret is a holder of Masters of Arts degree in Democratic Studies from the University of Leeds, UK, a Bachelor of Laws degree from the University of Buckingham, UK, a Certificate in Oil & Gas from Strathmore University and a Certificate in Competition Law from the Kenya School of Law. She was appointed a director of the Company on 9 June 2016. She is the Chairperson of the Risk and Governance Committee of the Board and also a member of the Audit Committee of the Board.

Mr. Maurice Odhiambo K'Anjejo, aged 59, holds a Bachelor of Commerce Degree (Accounting) from the University of Nairobi. He started his career in internal audit at TPS Serena Group upon graduation in 1983 before joining Total Kenya Limited in 1985 as Management Accountant. He has since held various responsibilities, including being Treasury Manager, Chief Accountant and Human Resources and Administration Manager. He was appointed the Corporate Affairs Manager in 2003, a post he holds to date. He was the alternate director to Mr. Momar Nguer and Ms. Aurore Delarue prior to their resignation on 9th June 2016 and was appointed as an alternate director of Mr. Stanislas Mittelman on the same day. Maurice is also the Ethics Officer of the Company.

Mr. Burban aged 38, has served in various capacities in the Total Group from the year 2002 to date. Jerome is currently a Corporate and Project Finance Manager of the Total Group. He is in charge of both European and US Refining and Chemicals entities and East African Marketing & Services entities. Jerome graduated from French Business School EM Lyon and is a holder of Masters in Business Law. He was appointed as a Company director on 9th June 2016. He is a member of the Audit Committee of the Board.

Mr. Maonga, aged 56, has a B. A. Degree from University of Nairobi and is a Certified Public Secretary. He is a member and fellow of the Institute of Certified Public Secretaries of Kenya and has over 25 years of experience in Company Secretarial and Registration Services. He was appointed Company Secretary on 1 February 1999.

TOTAL KENYA'S **MANAGEMENT**

Total Kenya has ten departments each led by a management executive. The Management and staff are guided by the core values stated on page 14 of this document. The core values describe us, clearly show what we stand for, unite us and differentiate us from competition. They serve as our guiding principles in everything that we do. They are the strengths we shall build on as a responsible energy company.

MANAGEMENT COMMITTEES

A. TOP MANAGEMENT COMMITTEE

This committee is made up of the Managing Director and all the management executives (whose profiles are available on pages 24 & 25). The members meet weekly to review performance, discuss business-related issues, map out on-going operational strategies, and optimize co-ordination of all the business processes. The committee serves as a platform to discuss matters affecting the business and performance of the Company in the short to medium term.

B. TENDER COMMITTEE

Chaired by the Finance Director and composed of seven members drawn from Total Kenya's top management, the committee awards tenders and ensures effective sourcing of major requests for goods and services. The diversity of the committee members ensures that optimal decisions are taken for the benefit of the Company in terms of safety, cost, quality and time. The Managing Director reviews the final decision and challenges the same if felt necessary.

The committee had thirty six sittings in 2016.

C. CONTRACTS COMMITTEE

Meeting quarterly, this committee is tasked with the review of Total Kenya's purchasing plan and contract management performance to ensure compliance of our operations with our procurement policy and guidelines on supplier relationship management. The committee met four times in the year 2016.

D. INTEGRITY COMMITTEE

This committee is made up of the Managing Director, Finance Director, Corporate Affairs Manager, Chief Internal Auditor and the Human Resource and Administration Manager. To meet its mandate the committee holds four sessions per year and its role is as defined below:-

- Review compliance policies and adopt new ones as and when required.
- Analyze and if necessary investigate on reported incidents related to fraud, corruption, anti-trust and ethical matters reported by employees and all stakeholders using all avenues made available.
- Review the Total Kenya Compliance Report.
- Prepare and validate sensitization programs for the staff.

E. CRISIS MANAGEMENT COMMITTEE

This committee is mobilized in case of any emergency situation requiring coordinated response actions. This committee assesses the emergency situation, the potential risks and decides on the strategy to be implemented to respond to the situation and to ensure good communication with all stakeholders. This committee coordinates the requisite logistics relating to a crisis and checks the actions of the Internal Operation Team relating to the crisis. The committee had three sittings in the year 2016. The composition of the committee is to ensure that the relevant expertise is available to tackle a crisis. On regular basis, drills are undertaken to ensure preparedness of all the members.

Anne-Solange Renouard
Managing Director

Premanand Dhoomon
Finance Director

Maurice K'Anjejo
Corporate Affairs Manager
and Alternate Director

Aegidia Schnepp
Planning & Supply Manager

Alban Tarneaud
Marketing Manager

MANAGE
EX

Charles Wambugu
Audit Manager

Irene Muinde
HR & Administration Manager

John Muchunu
HSEQ Manager

Joshua Ouma
Operations Manager

Kenneth Koskei
Specialties Manager

MENT
ECUTIVES

MANAGEMENT **EXECUTIVES**

Ms. Anne-Solange Renouard is a graduate of ESSEC Business School in France and Institute of Political Studies of Paris, France. She joined the Total Group in 1996 and has worked in different positions in logistics, audit, strategy, management control and marketing. She became Managing Director of Total Mauritius in 2012, a position she held until November 2015 when she was appointed Managing Director, Total Kenya.

Mr. Premanand Dhoomon is a Fellow member of the Chartered Association of Certified Accountant (ACCA). After five years spent in accounting and auditing practice, he joined in 1992 the Finance Department of Esso Mauritius Limited. Following the take-over of Esso activities by Total Mauritius in 2005, he was appointed as Finance Manager of the merged entities. In 2009, he joined the Group Audit Department in Paris and in 2012 he was appointed as the Marketing & Services Branch Fraud Risk Prevention Coordinator, a position he held until his appointment as Finance Director of Total Kenya Limited in May 2015. Premanand is also the Compliance Officer of the Company.

Mr. Maurice Odhiambo K'Anjejo holds a Bachelor of Commerce Degree (Accounting) from the University of Nairobi. He started his career in internal audit at TPS Serena Group upon graduation in 1983 before joining Total Kenya Limited in 1985 as Management Accountant. He has since held various responsibilities, including being Treasury Manager, Chief Accountant and Human Resources and Administration Manager. He was appointed the Corporate Affairs Manager in 2003, a post he holds to date. He was the alternate director to Mr. Momar Nguer and Ms. Aurore Delarue prior to their resignation on 9th June 2016 and was appointed as an alternate director of Mr. Stanislas Mittelman on the same day. Maurice is also the Ethics Officer of the Company.

Mr Joshua A. Ouma holds a Bachelor of Science degree in Mechanical Engineering, FCH from the University of Nairobi along with CPA. He joined Total Kenya in 1996 as Depots & Distribution Assistant and rose to the ranks of Joint Venture Depot Manager and Depots & Distribution Manager respectively. He has served the Total Group in several countries, in 2004 as Operations Manager at Total Malawi, 2006 as Operations Manager at Total Mozambique and 2011 as Operations Manager at Total Tanzania. He was appointed Operations Manager of Total Kenya Limited in July 2015, a position he holds to date.

Mrs. Irene K. Muinde joined Total Kenya in September 2013. She holds an Executive MBA in Human Resources from Moi University, Bachelor of Arts, University of Nairobi, Diploma in HRM from Kenya Institute of Management and is a Certified Psychometric Tester and Prince2 Practitioner (Project Methodology). Before joining Total Kenya she served as the Head of Human Resources, Sameer Africa from 2009 – 2013, Human Resources Manager - Housing Finance from 2005 - 2009, Manager: Benefits and Compensation - Housing Finance 2002-2005 and Human Resources Officer - Bestfoods (K) Limited 1998-2002.

MANAGEMENT **EXECUTIVES**

Mr. Alban Tarneaud joined Total Kenya in 2013 as the Marketing Manager after serving the Total Marketing & Services – Africa / Middle East Division in various positions. In 2010-2012 he served as the Head of Back-Office Supply team for Africa / Middle East Division. In 2007-2009 as Supply Manager Total Marketing & Services prior to which he served as Logistics Manager – French Marketing Division in 2004-2006. He joined in 2003 as Territory Manager for Total Marketing & Services – French Network of service stations. Before joining Total, Mr. Alban worked for LE FIGARO (national French daily newspaper) and Africa Gateways 2001-2002 Bouygues Telecom (main French mobile operator) as Product Manager. He attended EM Lyon Business School and holds a degree in Marketing as well as a degree in Economics from Panthéon-Assas University in Paris.

Mr. Muchunu has worked for Total Group for twenty seven years. During his tenure, he has held the following positions; Technical Marketing Representative (2 years), Senior Marketing Representative (3 years), Customer Services Manager (2 years), Aviation Manager (2 years). Expatriated to Total Zambia in 2001 as the Marketing Manager, he then moved to Total Uganda in 2004 as the Sales and Marketing Manager. In 2009, John came back to Kenya as Commercial Development Manager and took over the position of Network Sales Manager in 2010. In 2014 he was appointed as HSSEQ Manager, a position held to date. Prior to joining Total Group, Mr. Muchunu worked for BOC Kenya as Assistant Application Engineer for one year five months. He holds a Bachelor's Degree in Mechanical Engineering from the University of Nairobi.

Mr. Koskei has been working for the Total Group for 9 years. During this period, he has held various positions as follows; Lubricant Sales Engineer, he was then promoted to the position of Lubricants Technical and Training Manager and rose through the ranks to General Trade Manager and finally to his current position. Prior to joining Total, Mr. Koskei held the position of Oil Sales Expert Trainer at Mobil Oil (K) Limited and Lubricant Technical Representative at Kobil Petroleum Company Limited. He completed his CPA Part 1 course at Strathmore in 1994 and holds a Bachelor's degree in Mechanical Engineering from Jomo Kenyatta University of Agriculture & Technology and a Master of Business Administration (Strategy) from Maseno University.

Ms. Schnepp has been working with the Total Group for a period of fourteen years during which she held the following positions: Supply Manager (AME) – Total Marketing & Services, Corporate Auditor – Total SA, Trader (Gasoline & Naphta) – Petrofina SA, Trading Operator Oil Products – Total Oil Trading SA, Middle Office Trading - Total Oil Trading SA and Optimization Engineer – Total SA. She therefore brings with her a wealth of working experience in the oil Industry. In addition, Ms. Schnepp has two Masters Degrees in Chemical Engineering and in Economics & Corporate Management.

Mr. Charles Wambugu aged 53 years, holds a Bachelor of Science degree in Electrical Engineering from the University of Nairobi and is a Certified Public Accountant (CPA). He joined Caltex (Chevron) Kenya in 2000 moving on to the Total Group during the Chevron take-over in 2009 as the Chief Internal Auditor. Charles started his career with Coopers & Lybrand in 1989 as Senior Auditor and then worked as Audit Manager for British Oxygen (BOC) Kenya Ltd from 1992 to 1996 and for the Unga Group of companies from 1997 to 2000. He joined Chevron as a Supervising Auditor and moved through the ranks to become Area Audit Manager, a role he held until the take-over by Total.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Total Kenya's Corporate Social Responsibility initiatives derive naturally from its business undertakings. They are part of the business thought process from the very beginning and are guided by the desire to ensure that our commercial, operational and support undertakings should have direct social benefits to the stakeholders and the communities where we operate. All the programmes are designed to be long term and sustainable.

Among the broad portfolio of the CSR programmes we currently undertake are in areas of Entrepreneurship, Environment, Road Safety, Health, Education, Access to Energy and Sports as set out below:

ENTREPRENEURSHIP

For several years now, Total Kenya has been running the Young Dealer Scheme, a unique opportunity offered to young Kenyans through special-capita-cost-support for station dealership. The careers of the service station staff chosen for this programme are developed through training with the aim of becoming independent dealers over time through disciplined savings of part of their profits towards their working capital. This model continues to produce businessmen in our industry and was expanded in 2016. It will receive our continued support as a way of investing in the local community.

Total Kenya was a major participant in the Startupper of the Year challenge that was launched by the Group towards the end of 2015 to identify and support innovative business ideas for development. Over 800 applications were received out of which the finalists and winners are today receiving coaching and appropriate mentorships to successfully launch and develop their businesses which will stimulate the establishment of small enterprises that deliver on employment creation.

ENVIRONMENT

The Total Eco Challenge is a key activity for Total Kenya that recognizes tree planting champions every year. These champions are individuals, farmers, community groups, clubs, institutions of learning, businesses and industries of every size and kind, everywhere in Kenya. The programme whose slogan is "Miti ni Mali! Miti Tosha!" has grown to become recognized as a leading tree planting campaigner in Kenya, embracing many partners across the country involved in this noble cause.

Among our partners involved in environmental conservation is the Rhino Ark Trust, the organization that runs the very successful annual Rhino Charge Challenge that raises funds for the protection of Kenya's key water towers. We have supported their initiative with fuel donations over a long period of time due to our common commitment to the conservation of the environment.

It is important to note that we are rigorous in our investment policy that ensures that our underground equipments are of the highest standards beyond the minimum legal requirements. This is to ensure that the risk of underground pollution is minimized as much as possible.

HEALTH

We have an in-house awareness programme, the Total "Be Alive" programme that provides peer educators and Voluntary Counseling and Testing (VCT) throughout the company, with outreach to staff families and wider communities. It sets out a wholly non-discriminatory company policy. The programme also promotes staff wellness through regular health clinics. Our staff are regular participants in the annual Mater Heart Run and the Nairobi Stanchart Marathon which raise funds for worthy causes addressing the health needs of the less privileged members of our society.

In recognition of the dire need for blood in the national blood banks, Total Kenya organizes an annual Blood Donation Day for our staff and other partners which have been very successful. We value this modest contribution towards this deserving life-saving initiative.

ROAD SAFETY

Safety is a core value to Total and road safety receives particular attention due to the prevalence of road motor accidents in this country. The frequency of road traffic accidents and the resultant loss of lives is a cause for concern that needs concerted efforts from all stakeholders to address.

Total Kenya is a key partner in Safe Way Right Way (SWRW), an NGO promoting road safety awareness along the Northern Corridor in collaboration with government agencies including The National Transport and Safety Authority (NTSA) and other companies working towards the same cause. Through such collaboration and partnerships, we have been conducting road crash drills in the identified black spots to test the preparedness of emergency response agencies and shared the lessons learnt for improvement. A road safety program has been developed specifically for children, where more than 80 000 have been sensitised to date to the hazards of our roads for pedestrians.

As a major user of road transport, we have invested in continuous training of drivers and in technology that allows us to monitor and manage their behaviours for the assurance that our products are delivered with safety in mind as well as consideration for other road users. Such best practices are shared widely with our transporters through regular interactions.

EDUCATION AND YOUTH SUPPORT

Total Kenya is actively involved in various educational and mentorship programmes with the aim of enriching young people's skills and talents. We have partnerships with universities and recruit fresh graduates annually through our Young Graduate Programme that offers opportunities for them to undertake an 18-month management training programme at Total with the possibility of expatriation to other affiliates in an exchange programme. In 2016, we recruited six young graduates and expatriated four to other countries. On our side, we received six young graduates from the other Total affiliates in 2016. Since the inception of this programme in 2014, we have recruited eighteen young graduates, expatriated eleven and received thirteen, confirming successful exposure for these young graduates.

Similarly in 2016, through our partnership with the universities, two students from Jomo Kenyatta University of Agriculture and Technology were selected to attend the Total Summer School in Paris for a one-week international students convention that imparts useful life skills to young people. Through these initiatives, we aim to prepare our young people for the changing job market and to help them face the challenges of the future.

ACCESS TO ENERGY

Total Kenya runs an initiative to improve lives of people without access to the power grid by offering cost-effective lighting solutions. Through the partnership with D-Light, we have been involved in the distribution and sale of competitively priced solar lanterns through our wide network of service stations and the "Maskanis", the containers that have been conveniently located closer to the residential areas for easy access to a range of products like, LPG, Lubricants and solar lanterns.

SPORTS, ARTS & CULTURE

Total Kenya sponsors TOTAL FC, a football team made up of Total Kenya staff which participates in the Left Foot Football league. The league is made up of various corporate teams currently featuring in Division Four.

We have recently signed agreements with the Kibera Black Stars, a team formed by the youth in Nairobi's Kibera slums. Through this partnership, Total Kenya will promote their activities and provide them with the seed capital that will enable them distribute our solar lanterns within the slums and create a revolving fund that will help them generate income while still engaging in sports. Through this initiative we hope to promote sports within this community as well as income generation.

> The Company achieved good performance contributed by the stable economic parameters. All these were achieved with no compromise whatsoever to Safety, which is our value.

JEAN-CHRISTIAN BERGERON
- CHAIRMAN

FROM THE

CHAIRMAN

I welcome you all to this 63rd Annual General Meeting (AGM) of Total Kenya Limited and have the pleasure of presenting to you the Annual Report and Financial Statements for the Company for the year ended 31 December 2016. I am particularly grateful to you, shareholders, for the level of support you continue to provide to your company as is evident from your active participation in our AGMs every year. These occasions offer us an opportunity to review our financial performance and at the same time plan forward together.

On our part as your Board, together with the management and staff, we are always encouraged by the confidence you bestow on us to steer the affairs of your company and remain committed to the realisation of its full potential for growth in order to continue to deliver better returns.

ECONOMIC ENVIRONMENT

The macroeconomic environment for 2016 was quite stable when compared to the volatile 2015. Both petroleum prices and the Kenya shilling exchange rate contributed to this stable macro-economic environment with the resultant growth rate in GDP of 5.8%. The country continued to undertake massive investments in the areas of infrastructure and especially the new standard gauge railway and the 20-inch fuel pipeline that is set for commissioning later this year. Other areas of significant investment included roads, power projects, ICT, housing, as well as the tourism sector. All these had a positive impact on the country's economic growth.

PETROLEUM ENVIRONMENT

I would like to focus on three important and impacting areas:
First, the Energy Tribunal became operational. This is important since the Tribunal will play a key role in addressing long outstanding and ongoing industry issues. Among them, the "Yieldshift" issue between KPRL and the oil marketing companies (OMCs) after decommissioning of the refinery which remains unresolved to date.

Second, the Kenya Pipeline Corporation (KPC) adopted a new strategic plan for the period 2016 - 2025 dubbed 'KPC Vision 2025'. This vision addresses the increase of oil pipeline capacity by laying a new 20" pipeline as well as opening up of the additional storage capacity at Nairobi. KPC also took over the operations of the Konza depot and Kenya Petroleum Refinery (KPRL).
Third, an LPG Technical Committee chaired by the ERC was set up to review, together with the stakeholders, the legal framework of LPG business and address issues concerning LPG safety, accessibility and the exchange pool.

TAARIFA YA

MWENYEKITI

Nawakaribisha nyote kwa Mkutano Mkuu Wa Kila Mwaka wa 63 wa kampuni ya Total Kenya Limited na pia kuchukua fursa hii kuwasilisha kwenu Ripoti Ya Kila Mwaka na Taarifa Ya Kifedha Ya Kampuni yetu kwa kipindi kilichomalizika tarehe 31, mwezi Disemba, mwaka 2016. Nawashukuru sana kwa kuendelea kuunga mkono kampuni hii, azma ambayo imebainika kutokana na kujitolea kwenu kuhudhuria kwa wingi Mikutano Yetu Mikuu Ya Kila Mwaka. Mkutano huu unatupa fursa ya kuchunguza hali ya kifedha ya kampuni katika kipindi cha mwaka 2016, na pia kupanga pamoja jinsi ya kuboresha utendaji wa kampuni siku za usoni .

Kwa upande wetu kama Bodi ya kampuni, pamoja na wasimamizi na wafanyakazi tumenyenyekezwa na imani ambayo mmeonyesha kwetu kwa kututunuku jukumu la kusimamia maswala ya kampuni. Tunaahidi kufanya bidii na kutekeleza wajibu huo kwa uadilifu, ili kuhakikisha kuwa kampuni yenu inaafiki malengo yake kwa manufaa ya wenye hisa.

MAZINGIRA YA KIUCHUMI

Mazingira ya kiuchumi hapa nchini katika mwaka 2016 yalikuwa thabiti ikilinganishwa na mwaka uliotangulia wa 2015.Bei ya bidhaa za petroli na thamani ya shilingi ya Kenya zilichangia pakubwa katika uthabiti huo na hivyo kuwezesha nchi hii kunakili ukuaji wa uchumi wa asilimia 5.8. Katika kipindi hicho, nchi hii iliendelea kuwekeza kiasi kikubwa cha raslimali katika muundo msingi, hasa reli ya kisasa na ujenzi wa bomba la kusafirisha mafuta la upana wa inchi 20, ambalo linatarijiwa kuzinduliwa rasmi baadaye mwaka huu. Sekta zingine ambazo pia zilishuhudia kuongezeka kwa uwekezaji ni barabara, usambazaji nguvu za umeme, teknolojia ya mawasiliano, nyumba na pia utalii. Sekta hizo zilikuwa nguzo muhimu kwa ukuzi wa uchumi katika kipindi hicho.

MAZINGIRA YA SEKTA YA PETROLI

Katika sekta hii, nitaangazia zaidi maswala tatu muhimu:
Kwanza, jopo la kushughulikia utata kwenye sekta ya kawi sasa imeanza kuhudumu. Hii ni muhimu kwa sababu jopo hilo sina shaka litatekeleza wajibu muhimu katika utatuzi wa mizozo ambayo imekuwepo na itakayochipuka katika sekta hii muhimu. Moja ya maswala jopo hilo linatarajiwa kuangazia ni mzozo uliopo kati ya kampuni ya usafishaji mafuta hapa nchini. KPRL na kampuni za kuuza mafuta.
Pili,kampuni ya Kenya Pipeline (KPC) inatekeleza mkakati mpya kwa kipindi cha mwaka 2016–2025,maarufu kama ruwaza ya kampuni ya KPC kufikia mwaka 2025. Ruwaza hii inahusisha ujenzi wa bomba mpya la kusafirisha mafuta la upana wa inchi 20 na matangi zaidi ya kuhifadhi mafuta jijini Nairobi. Kampuni ya KPC pia imechukua usimamizi wa ghala la Konza na kampuni ya Kenya Petroleum Refinery (KPRL).

We are confident that with good cooperation among industry players, regulators and the Ministry of Energy and Petroleum, better efficiencies will be achieved that would continue to promote investment in the sector.

PERFORMANCE

The Company achieved good performance for the year ended 31 December 2016, mainly contributed by the stable economic parameters, as explained above.

The financial performance was also greatly driven by action plans set by management to grow the business in profitable segments, effective management of costs, working capital and cash. All these were achieved with no compromise whatsoever to safety, which is our value.

As a result of the drop in oil prices in the international market, our net sales decreased by 26% despite relative stability of our sales in tons. The gross margins increased by 12% from KShs. 6.99 billion in 2015 to KShs. 7.85 billion led by effective cost of sales management and stronger focus on more profitable business segments. Other income increased by KShs. 197 million as a result of our strategy to bolster growth in non-fuel activities. Operating expenses were closely managed and were controlled at below inflation. Net finance income grew by KShs. 36 million resulting from an efficient cash management. The stability of the Kenya shilling against the US dollar resulted in a much lower forex loss in the year as compared to 2015. The company recorded a profit before tax of KShs. 3.94 billion compared to KShs. 2.62 billion realised in 2015. Profit for the year increased by 38% to KShs. 2.23 billion (2015: KShs. 1.62 billion).

INVESTMENTS

Total Kenya continued to make significant investments in 2016 as a way of building a solid base for sustained future growth. Investments in long-term assets totalling KShs. 1.54 billion were made in the year in line with the strategy to develop our core activities and to tap on business opportunities.

Key areas of investment in the year included the construction of new stations spread across the country, new fire fighting equipment for our Nairobi LPG plant and modernization of our Lubricants blending plant in Mombasa to keep up with the increased demand for these products in the region.

CORPORATE SOCIAL RESPONSIBILITY

Total Kenya has been and remains a responsible corporate citizen whose operations over the years have been geared towards the benefit of the country and its people. Our activities are undertaken within the communities, hence

Tatu, kamati ya kiufundi kuhusu gesi ya kupika imebuniwa chini ya usimamizi wa tume ya kuthibiti sekta ya kawi hapa nchini ERC. Kamati hiyo kwa ushirikiano na wadau wengine inatarajiwa kuratibu mwongozo wa kisheria kuhusu biashara ya gesi ya kupika na pia maswala kama vile usalama na upatikanaji wa gesi hiyo.

Ni matumaini yetu kwamba kupitia ushirikano mwema miongoni mwa wadau,wathibiti wa sekta na wizara ya kawi na mafuta, sekta hii itanakili ukuaji mkubwa na hivyo kuvutia uwekezaji zaidi.

MATOKEO YA BIASHARA

Kwa ujumla kampuni ilinakili biashara nzuri katika kipindi kilichomalizika tarehe 31 mwezi Disemba mwaka 2016, kufuatia uthabiti wa kiuchumi uliotokana na hatua ambazo nimetaja hapo mbeleni.

Ufanisi huo pia ulichangiwa pakubwa na utekelezaji wa mipango bora iliyoratibiwa na wasimamizi wa kampuni, kwa madhumuni ya kuongeza mapato ya kampuni na kupunguza gharama ya matumizi miongoni mwa nyingine. Malengo hayo yote nina furaha kuu kuwajulisha kwamba yaliafikiwa bila kuhujumu ubora na usalama wa bidhaa zetu.

Kutokana na kupungua kwa bei ya mafuta katika soko la kimataifa, mauzo halisi ya kampuni yalipungua kwa asilimia 26. Hata hivyo mapato jumla yaliongezeka kwa asilimia 12 kutoka shilingi bilioni 6.88 mnamo mwaka 2015 hadi shilingi bilioni 7.85 mwaka 2016, hali ambayo ilichangiwa na uthibiti wa gharama ya mauzo na kuangazia zaidi upanuzi wa vitengo vya kampuni vinavyoleta faida kubwa. Mapato mengine yaliongezeka kwa shilingi milioni 197 kutokana na mpango wetu wa kuimarisha biashara zisizohusiana moja kwa moja na mafuta. Uthabiti wa shilingi ya Kenya dhidi ya dola ya Marekani pia ulisaidia kupunguza hasara iiliyotokana na unyumbufu katika viwango vya ubadilishanaji sarafu hizo ikilinganishwa na hali ilivyokuwa mwaka 2015. Kabla ya kulipa ushuru, kampuni ilinakili faida ya shilingi bilioni 3.94 ikilinganishwa na shilingi bilioni 2.62 ambazo ilipata mwaka 2015. Faida halisi ya kampuni katika kipindi hicho iliongezeka kwa asilimia 38 hadi shilingi bilioni 2.23 kutoka shilingi bilioni 1.62 katika mwaka 2015.

UWEKEZAJI

Kampuni ya Total Kenya iliendelea kuwekeza kiasi kikubwa cha pesa katika mwaka 2016, kama moja ya hatua ya kujiwekea msingi thabiti wa ukuaji. Kampuni iliwekeza jumla ya shilingi bilioni 1.54 katika miradi mbali mbali kwa lengo la kupanua biashara yake na hivyo kuongeza mapato. Miradi muhimu ambayo kampuni iliwekeza katika kipindi hicho ni ujenzi wa vituo vipya vya kuuza mafuta kote nchini, our understanding of their needs and aspirations.

We have continued as over the previous years to support initiatives in the key pillars of road safety, environment, education, health and entrepreneurship among others.

Our Young Dealer Scheme, an entrepreneurship programme that develops the careers of young service station employees to become independent dealers, was further expanded in 2016. This model has successfully produced businessmen in our industry and will continue to receive our support as a way of investing in the skills of the local community.

The Startupper Of The Year Challenge, another entrepreneurship initiative launched by Total in 2015 to identify and motivate our people with innovative ideas for business development, received massive support in Kenya. Out of more than 800 applicants, the winners and finalists are being coached and mentored with the aim of ensuring that their nascent businesses should grow and create employment opportunities.

We continue to work with the relevant government agencies and our partners in Safe Way Right Way, an organization for championing road safety advocacy among the key stakeholders, including motorists, motorcyclists, pedestrians and the general public. We remain gravely concerned at the loss of lives on our roads and the heavy burden this places on families and the economy in general and believe more concerted efforts need to be directed at finding a lasting solution by all stakeholders.

We continue to be committed to environment protection through the Eco Challenge and to involve more and more partners in the programme for sustainability.

OUTLOOK FOR 2017

In December 2016, your company introduced a new range of fuels into the Kenyan market namely TOTAL EXCELLIUM PETROL and TOTAL EXCELLIUM DIESEL – the additivised fuels that improve engine performance and protection at no extra cost to the customer. These were well received by the market and confirm our strong commitment to innovation in pursuit of better products to the satisfaction of our esteemed customers and the public in general.

Another big achievement for Total, and I am sure you are already aware of, is the acquisition of GAPCO operations in Tanzania, Kenya and Uganda by our holding company, Total Outre-Mer. This is a further demonstration of the confidence Total has in the potential for future business growth in the region. In 2017, the focus of management

ununuzi wa magari mapya ya kuzima moto kwa kiwanda chetu cha gesi jijini Nairobi na pia ununuzi wa vifaa vipya katika kiwanda chetu cha kuchanganya mafuta laini huko Mombasa kwa lengo la kukidhi mahitaji yanayongezeka ya bidhaa hiyo katika kanda hii.

WAJIBU KWA JAMII

Kampuni ya Total Kenya kwa miaka mingi imekuwa na itaendelea kujihusisha kikamilifu kwenye shughuli zinazolenga sio tu kunufaisha nchi bali pia raia wake .Shughuli zetu hutekelezwa kwa kuhusisha jamii na ndiyo sababu tunafahamu mahitaji na matarajio ya jamii mbali mbali hapa nchini.

Baadhi ya mipango ya kusaidia jamii ambayo kampuni ya Total Kenya imehusika kwa miaka kadhaa iliyopita ni usalama barabarani, uhifadhi wa mazingira,elimu,afya na ujasiria mali miongoni mwa mengine.

Mpango wetu wa kujenga nyenzo kwa wafanyikazi chipukizi katika vituo vya kuuza mafuta ili kuwawezesha kujitegemea baadaye kwa jina Our Young Dealer pia ulipanuliwa katika mwaka 2016. Mpango huo ambao umefanikiwa kuwakuza kitalaamu wafanyibiashara kadhaa katika sekta ya mafuta utaendelea kupokea usaidizi kutoka kwa kampuni, kama sehemu ya wajibu wake kwa jamii.

Mpango mwingine kwa jina The Startupper Of The Year Challenge ulioanzishwa na kampuni ya Total mnamo mwaka 2015 kwa lengo la kuwatambua na kuendeleza ubunifu katika nyanja ya biashara pia umeungwa mkono na wengi hapa nchini. Watu kadhaa kati ya zaidi ya 800 waliotuma maombi wametambuliwa na kwa sasa wanapokea mafunzo maalumu na ushauri kwa lengo la kuhakikisha kuwa ndoto zao kibiashara zinatimia kando na kusaidia katika kubuni nafasi za kazi hapa nchini.

Tutaendelea kufanya kazi kwa ushirikiano na idara husika za serikali na shirika la Safe Way Right Way,shirika ambalo linaongoza kampeini ya hamasisho kuhusu usalama barabarani miongoni mwa waendeshaji magari, pikipiki na hata watembeaji kwa miguu.Tunaamini kuwa wadau wote wana wajibu wa kutekeleza katika kupunguza ajali za barabarani hapa nchini,ikizingatiwa athari za ajali hizo kwa familia na uchumi wa nchi kwa jumla.
Pia tungali tumejitolea kwa mpango wa uhifadhi wa mazingira wa Eco Challenge, na tunatarajia kuhusisha watu zaidi kwa ajili ya uendelevu wa mpango huo .

MATARAJIO YA MWAKA 2017

Mwezi Disemba mwaka 2016 kampuni yenu ilizindua katika soko la hapa nchini aina mpya za mafuta kwa majina TOTAL will be to develop business opportunities for both companies while building on our respective strengths.

With the Kenyan economic growth expected to be around 6% in 2017, the Board is confident that the company will be in a position to continue to take full advantage of business opportunities. We are convinced that the sustained investments, experienced management and staff with a clear business strategy combined with our wide and expanding network are perfect ingredients that will allow us to profitably deliver the needs of the expanding economy.

DIVIDENDS

In view of continued improvement in our financial performance and the need to further invest in safety and business growth, the Directors are recommending for the approval at this Annual General Meeting the payment of a first and final dividend of KShs. 1.06 per share for the year ended 31 December 2016 compared to KShs. 0.77 per share in 2015. This represents a 38% payout increase as compared to 2015. Dividend will be payable to shareholders on the register of members at the close of business on 16 June 2016, subject to withholding tax where applicable.

ACKNOWLEDGEMENTS

The stability of the economic environment in which we operated for the year under review was commendable and we thank the authorities for such steady stewardship. It is our hope that this conducive environment for business shall be maintained as the country approaches the general elections in a few weeks.

Total remains customer-focused and willing to sustain a strong relationship which we believe delivers mutual benefits. I would like to take this opportunity and be grateful to our customers, dealers, transporters and other stakeholders for their support.

I give special thanks and recognition to the management and staff of the company for their commitment and dynamism, which has ensured the delivery of good results.

EXCELLIUM PETROL na TOTAL EXCELLIUM DIESEL – mafuta ambayo yanaimarisha utendaji na utunzi wa injini ya gari kwa gharama nafuu. Bidhaa hizo mpya zimepokelewa vyema katika soko, hali inayothibitisha umuhimu tunatilia ubunifu katika jitihada za kutengeneza bidhaa za ubora wa hali ya juu, kwa lengo la kutosheleza matarajio ya wateja wetu ambao tunawathamini sana.

Ufanisi mwingine mkubwa ambao kampuni imenakili, na ambao nina hakika tayari mna habari juu yake ni ununuzi wa shughuli za kampuni ya GAPCO katika nchi za Tanzania, Kenya na Uganda na tawi letu mpya la Total Outre-Mer. Kwa mara nyingine, hii ni dhihirisho kwamba kampuni ya Total ina imani kubwa katika fursa nyingi za biashara zilizopo katika kanda hii. Katika kipindi cha mwaka 2017, wasimamizi wa kampuni wataangazia zaidi upanuzi wa biashara kwa kampuni hizo mbili.

Na huku uchumi wa nchi hii ukitarajiwa kukua kwa takriban asilimia 6 katika mwaka 2017, bodi ya kampuni ina hakika kwamba kampuni itaendelea kutumia fursa za biashara zilizopo na zitakazochipuka kuwa na msingi thabiti hata zaidi kibiashara tunaposonga mbele.Tuna imani kwamba kampuni hii itakidhi mahitaji ya uchumi wa nchi hii yanayongezeka,ikizingatiwa mchanganyiko wa mkakati wake mahusus wa biashara,uendelevu katika uwekezaji, wasimamizi na wafanyakazi walio na ujuzi pamoja na mtandao wake mkubwa wa biashara .

MGAO WA FAIDA

Kutokana na kuimarika mapato ya kampuni pamoja na haja ya kuendelea kuwekeza katika vifaa vya usalama na mipango ya upanuzi kwa ajili ya ukuaji wa kasi,wakurugenzi wanapendekeza kwa mkutano huu mkuu wa mwaka kuidhinisha malipo ya mgao wa faida wa kwanza na mwisho wa shilingi 1 na senti sita kwa kila hisa kwa kipindi kilichomalizika tarehe 31 mwezi Disemba mwaka 2016 , ikilinganishwa na mgao wa faida wa senti 77 kwa kila hisa uliolipwa katika kipindi cha mwaka 2015.Hii ni nyongeza ya asilimia 38 ikilinganishwa na mwaka 2015.Mgao wa faida utalipwa kwa wenye hisa waliokuwa kwenye sajili ya kampuni kufikia tarehe 16 mwezi juni mwaka 2016,baada ya kukatwa ushuru wa mapato.

Finally, I pay tribute to the board of directors; the dedicated team with a clear vision that will drive the growth and success of your company as a major player in this market into the future.

Jean-Christian BERGERON
Chairman

SHUKRANI

Naishukuru serikali kwa kuhakikisha kuwepo kwa mazingira thabiti ya kiuchumi katika kipindi kinachoangaziwa. Hata hivyo ni matumaini yetu kwamba mazingira hayo bora ya kufanya biashara yatadumishwa huku nchi hii ikielekea katika kipindi cha uchaguzi katika wiki chache zijazo.

Kampuni ya Total itaendelea kuendesha shughuli zake kwa kutilia umuhimu mkubwa matarajio ya wateja wake. Pia nawashukuru wafanyikazi wetu, wauzaji bidhaa zetu, wachukuzi na wadau wengine kwa usaidizi wao.
Pia siwezi kuwasahau wasimamizi na wafanyikazi wa kampuni yetu kwa bidii na uadilifu wao, ambao wameiwezesha kampuni hii kunakili matokeo bora ya biashara katika mwaka 2016.

Mwisho, nawashukuru wanachama wa bodi ya wakurugenzi ya Total Kenya Limited, kwa jitihada na usaidizi wao, ambao wameiwezesha kampuni hii kusalia mdau muhimu katika sekta ya mafuta hapa nchini.
Asanteni.

Jean-Christian BERGERON
Mwenyekiti

OVERVIEW OF THE 2016 FINANCIAL YEAR FOR TOTAL KENYA LIMITED

SUMMARY OF RESULTS

The Company recorded good performance in the year ended 31 December 2016. This has been driven by the efforts and action plans set by management to grow the business in all profitable segments, effective management of working capital requirements and costs, cash management , continued investments in safety and business growth coupled with stability in macroeconomic environment.

The drop in international oil prices led to the decrease of 26% in net sales, while gross margins increased by 12% from Kshs 6.99 billion in 2015 to Kshs 7.85 billion in 2016. The effective cost of sales management and stronger focus on more profitable business segments in 2016 led to better results of the Company.

Other income increased by Kshs 197 million as a result of continued investments in non-fuel activities. As a key objective set by management, operating expenses were closely managed and were controlled at below inflation with an increase of 2%. Net finance income grew by Kshs 36 million resulting from effective cash management.

Due to the stability of the Kenya shilling against the US dollar, the forex loss was lower at Kshs 22 million compared to Kshs 320 million in 2015.

The Company recorded a profit before tax of Kshs 3.94 billion as compared to Kshs 2.62 billion realised in 2015.

Profit after tax increased by 38% to Kshs 2.23 billion (2015: Kshs 1.62 billion). The Company continues to maintain a very strong financial position with a growth in total assets of Kshs 1.96 billion.

Investments in long term assets totaling Kshs 1.54 billion were made in the year, in line with the strategy to develop the business in the core activities and to continue to tap on business opportunities, altogether with full compliance with our safety and environmental requirements and standards.

ANALYSIS BY BUSINESS CHANNELS

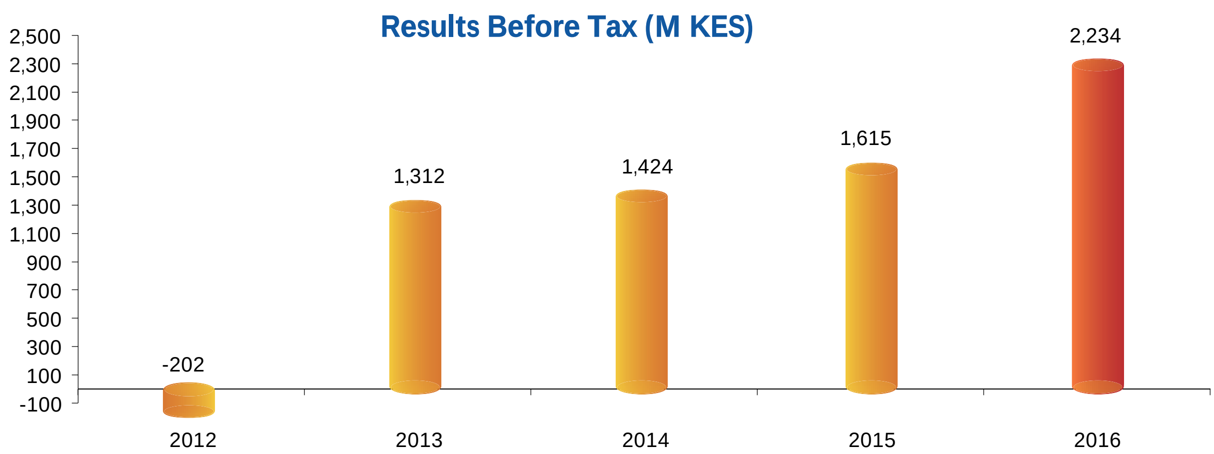
The company's four business channels are:

- The Network channel, which includes the distribution of petroleum products through service stations located across the country.
- The General Trade channel, which includes sales of a broad range of products to all sizes of industrial consumers.
- The Aviation channel, which comprises of sales of turbine kerosene and aviation gasoline to local and international air carriers.
- The Exports and Bulk channel, which comprises of sales of our full range of products to neighbouring countries and other industry players.

NETWORK

The network market environment remained competitive with continued growth in the number of competitor service stations. Sales in this channel remained stable at 468 KMT in 2016. The Company has continued to provide quality services to its customers.

The company's objective is to continue investing in areas where population and traffic are growing and continue developing services to meet the customer changing demands.They include: Convenience stores "Bonjour shops", Partnership with third parties, Restaurants, Auto clean for Car wash and Auto express service for pit-stop.



The Bon Voyage card has remained popular amongst individuals and corporate companies and has ensured customer loyalty. Our objective is to remain competitive as we strive to fully meet the expectations of our customers.

Network –Key figures	2016	2015
Number of service stations	183	180
Volumes Sold in KMT	468	468

GENERAL TRADE

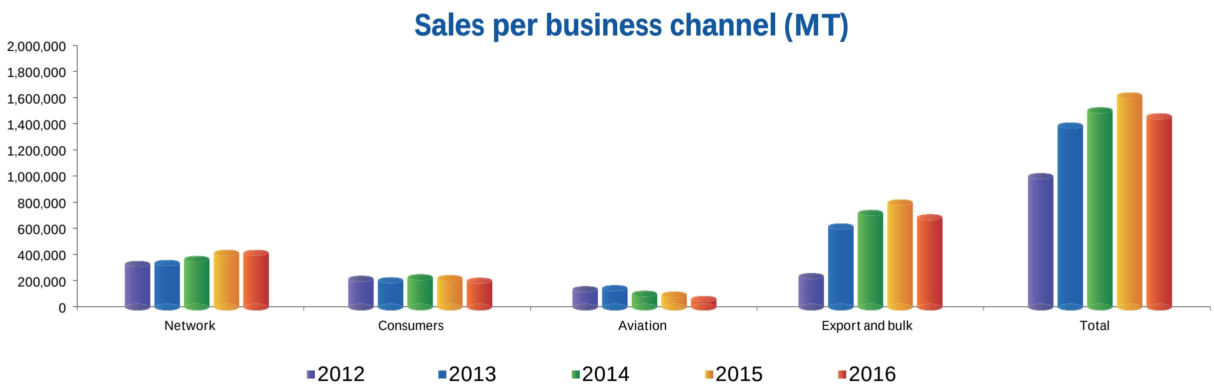
The General Trade channel remained competitive with increased number of reseller marketers in the industry. Total Kenya volumes in this channel remained stable as compared to previous year.

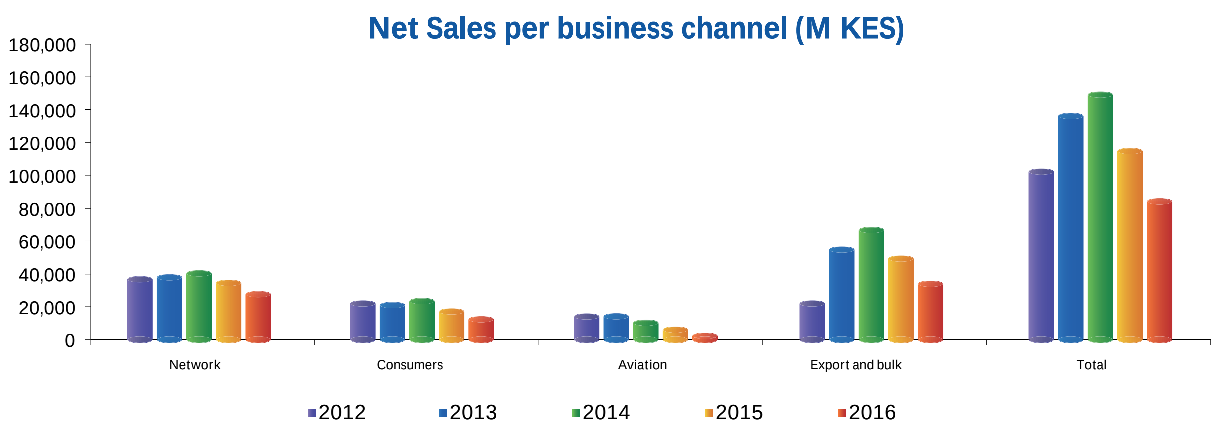
AVIATION

The drop in the Aviation market by 6.2% led to Total Kenya sales volumes in this channel to decrease by 3% (from 132 KMT in 2015 to 96 KMT in 2016).

EXPORTS AND BULK

Supply to the industry with refined products under the OTS agreement remained competitive in the year resulting to decrease in Bulk sales by 13% from 859KMT in 2015 to 747KMT in 2016.





MANAGEMENT **REPORT**

FINANCIAL POSITION

The company maintained a very strong statement of financial position recording a growth of 10% in net assets to Kshs 19.3 billion in 2016.

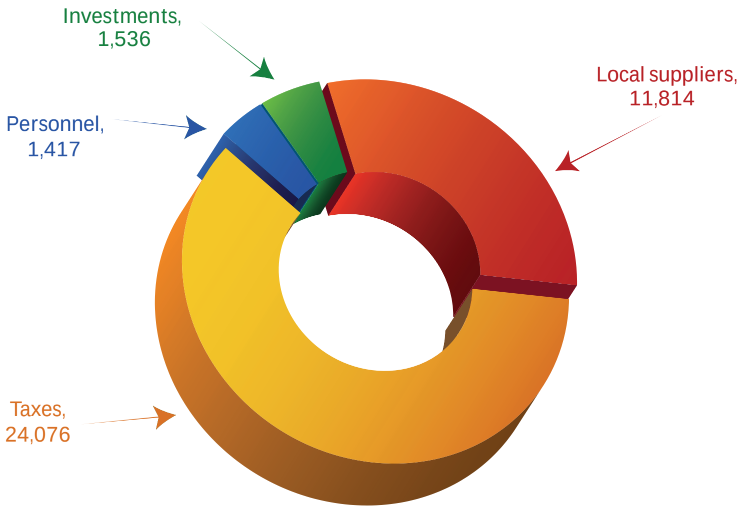
The company invested substantially at Kshs. 1.54 billion in the year in line with the strategy to enhance safety standards and develop the business to meet the growing market demands.

CONTRIBUTION TO THE KENYAN ECONOMY

Total Kenya has remained a key player in the Kenyan oil industry and the economy as a whole. During the year under review, the company significantly contributed to the Kenyan economy as it carried on with its business and corporate social responsibility activities.

Total Kenya remained at the top on the list of the biggest tax payer in the country, having paid direct and indirect taxes of over Kshs 24 billion (Kshs 20 billion in 2015). The total financial impact on the economy in 2016 was Kshs 39 billion (2015 Kshs 34 billion) comprising the following in Mkshs:

Contribution to the Kenyan economy 2016 (M KES)



2017 MANAGEMENT AGENDA:

The country continues to invest massively in the areas of infrastructure and especially the new standard gauge railway and the 20-inch oil pipeline that will be commissioned in 2017. These two projects among others are expected to ease logistical challenges and spur economic growth.

With the Kenyan economy growth expected at between 5% and 6% in 2017, the Management is confident that the Company is well placed to take advantage of business opportunities owing to sustained investments, experienced management and staff and our wide network to profitably supply all sectors of the economy.

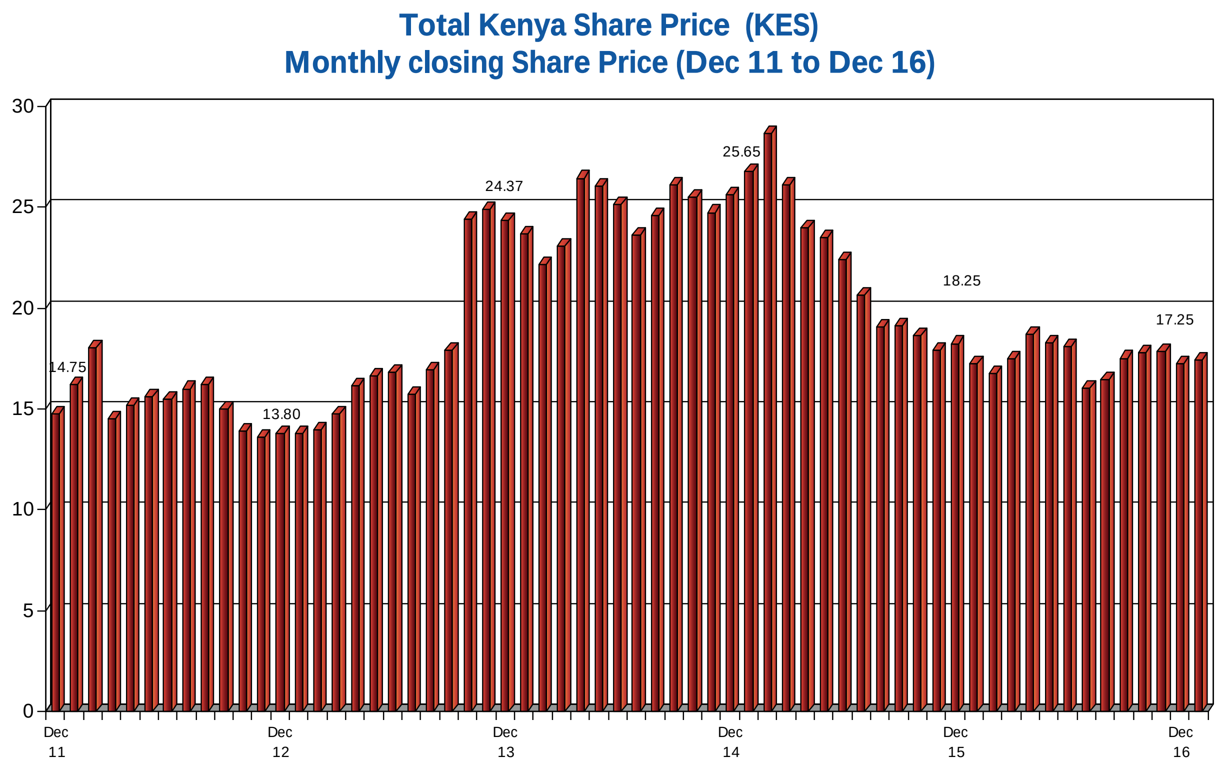
Therefore the management will:

- Focus on achieving the company's mission of delivering quality products and services to our customers responsibly and profitably in an innovative way.
- Ensure safety standards at all company installations.
- Continue to harness the opportunities in the market and enhance profitable growth.
- Maintain control over costs.

- Continue to attract, develop and retain best talent.
- Reinforce the brand through expansion, physical image, external recognition and community commitment.
- Continue to invest in renewable energy opportunities

SHARE PRICE EVOLUTION

In 2016, Total Kenya share price traded between Kshs16.0 and Kshs18.7 per share.



SHAREHOLDERS **ANALYSIS**

TOP 10 ALL INVESTORS AS AT: 31 December 2016

The Company files monthly investor returns to meet the continuing obligations as prescribed by the Capital Markets Authority and the Nairobi Securities Exchange.

TOP 10 SHAREHOLDERS

Rank	Name	Shares Held	Percent
1	TOTAL OUTRE-MER	580,804,822	92.26%
2	TOTAL AFRICA LIMITED	10,732,950	1.70%
3	KIMANI, JOHN KIBUNGA	3,013,701	0.48%
4	BENJAMIN, EMMETT JOSEPH	2,424,100	0.39%
5	SHAH, RAJESH DHARAMSHI	1,728,386	0.27%
6	BID PLANTATIONS LTD	1,452,100	0.23%
7	SAYANI INVESTMENTS LTD	1,000,000	0.16%
8	THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	566,736	0.09%
9	STANDARD CHARTERED KENYA NOMINEES LTD A/C KE002670	499,600	0.08%
10	RAHIM, AHMED MIAN ABDUR	462,960	0.07%
		602,685,355	95.73%

SHARE DISTRIBUTION SCHEDULE

i) By number of Share Range

Shares Range	No. of Members	No. of Shares Held	% of issued Share Capital
1 - 500 2,434	532,487	0.08%	
501 - 1,000	922	796,705	0.13%
1,001 - 5,000	1,480	3,813,163	0.61%
5,001 - 10,000	397	2,956,062	0.47%
10,001 - 50,000	334	6,897,838	1.10%
50,001 - 100,000	61	4,291,216	0.68%
100,001 - 500,000	41	8,532,192	1.36%
500,001 - 1,000,000	2	1,566,736	0.25%
1,000,001 - 999,999,999,999	6	600,156,059	95.33%
	5,677	**629,542,458**	**100.00%**

ii) By category of Shareholder

Group	No. of Members	No. of Shares Held	% of issued Share Capital
Foreign Investors	88	593,410,249	94.26%
East Africa Individual Investors	5,202	29,603,101	4.70%
East Africa Institutional Investors	387	6,529,108	1.04%
TOTALS	**5,677**	**629,542,458**	**100.00%**

REPORT OF THE **INDEPENDENT AUDITOR**
TO THE MEMBERS OF TOTAL KENYA LIMITED

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the accompanying financial statements of Total Kenya Limited set out on pages 9 to 56, which comprise the statement of financial position as at 31 December 2016, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements present fairly, in all material respects, the financial position of the company as at 31 December 2016, and its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of Kenyan Companies Act, 2015*.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other ethical responsibilities in accordance with the IESBA Code, and in accordance with other ethical requirements applicable to performing audits of financial statements in Kenya. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. The matter was addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter. For the matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key matter
Accounting for fuel inventories held by Kenya Petroleum Refineries Limited (KPRL)	
As disclosed in Note 17 to the financial statements, the company has significant amounts of inventories held by KPRL. These inventories relate to products and yield shifts that arose up to 2013 when KPRL operations were under toll mode. Subsequently, KPRL changed its operations to merchant mode and, most recently, to fuel hospitality services only. We focused on these inventories because they are material to the financial statements, arose in the period to 2013 and had not been recovered by year-end. The determination of whether there was sufficient supporting evidence for the continued recognition of these inventories in the financial statements involved robust discussions with management. We also considered that the disclosures on this matter in Note 17 to the financial statements are significant to the understanding of the company's inventories account balance.	We performed the following audit procedures in response to this matter: a) Reviewed the following:- • The available KPRL statement and confirmation of the inventories due to the company; • The forensic audit report of the KPRL yield shift numbers commissioned under the direction of the Ministry of Energy and Petroleum (MoE&P); and, • The Company's reconciliations of the fuel quantities in the company's books of account to the KPRL statement and confirmation of inventories due to the Company. b) We compared the inventories quantities in the Company's books of account to the KPRL statement and confirmation and checked that the differences were reconciled. c) We held periodic meetings with management and checked that the correspondence between the company, Oil Marketing Companies, KPRL, the Energy Regulatory Commission and the MoE&P supported the recoverability of the inventories. d) We evaluated the adequacy of Company's disclosures on this matter in Note 17 to the financial statements.

Other Information

The Directors are responsible for the other information. The other information comprises the Directors' Report, as required by the Kenyan Companies Act, 2015, and the Statement of Directors' Responsibilities, which we obtained prior to the date of this report, and the Annual Report, which is expected to be made available to us after that date. Other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for overseeing the Company's financial reporting processes.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

i. We have obtained all the information and explanations which, to the best of our knowledge and belief, were considered necessary for the purposes of our audit;

ii. In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and,

iii. The Company's statement of financial position, statement of profit or loss and other comprehensive income are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is Herbert Chiveli Wasike –P.1485.

Nairobi, Kenya

Friday, 28 April 2017

**In accordance with Section 42 of the Sixth Schedule, Transitional and Saving Provisions, of the Kenyan Companies Act, 2015, the company's financial statements and this report have been prepared in accordance with Sections 147 to 163 of the repealed Companies Act, as if that repeal had not taken effect.*

STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2016

	Notes	2016 KShs'000	2015 KShs'000
Gross sales		110,582,420	138,027,279
Indirect taxes and duties		(21,521,496)	(17,773,285)
Net sales	**3**	**89,060,924**	**120,253,994**
Cost of sales	4	(81,209,334)	(113,263,567)
Gross profit		**7,851,590**	**6,990,427**
Other income	5	962,996	766,065
Operating expenses	6	(4,994,353)	(4,905,099)
Finance income	7 (a)	163,492	127,073
Finance costs	7 (b)	(26,834)	(39,428)
Net foreign exchange loss	7 (c)	(21,528)	(320,342)
Profit before tax	**8**	**3,935,363**	**2,618,696**
Tax charge	9	(1,701,071)	(1,003,693)
Profit for the year		**2,234,292**	**1,615,003**
Other comprehensive income, net of tax		-	-
Total comprehensive income for the year		**2,234,292**	**1,615,003**
Earnings per share (basic and diluted) (KShs)	10	3.55	2.57

STATEMENT OF **FINANCIAL POSITION**
FOR THE YEAR ENDED 31 DECEMBER 2016

	Notes	2016 KShs'000	2015 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	12	9,008,721	8,942,783
Prepaid operating leases	13	886,448	824,398
Goodwill	14	416,679	416,679
Intangible assets	15	74,779	87,498
Deferred tax asset	16	419,295	495,486
		10,805,922	**10,766,844**
CURRENT ASSETS			
Inventories	17	12,080,556	10,017,977
Tax recoverable	9 (iii)	-	16,946
Trade and other receivables	18	8,714,085	9,418,304
Amounts due from related companies	19 (i)	1,035,039	1,365,040
Cash and bank balances	25 (ii)	3,525,406	2,615,560
		25,355,086	**23,433,827**
Non-current assets classified as held for sale	20	24,364	24,364
		25,379,450	23,458,191
TOTAL ASSETS		**36,185,372**	**34,225,035**
EQUITY AND LIABILITIES			
EQUITY			
Share capital	21	9,974,771	9,974,771
Share premium	22	1,967,520	1,967,520
Retained earnings		7,406,999	5,657,455
		19,349,290	17,599,746
NON-CURRENT LIABILITIES			
Trade and other payables	23	1,426,434	1,244,627
CURRENT LIABILITIES			
Unclaimed dividends	11	-	6,748
Tax payable	9 (iii)	243,992	-
Trade and other payables	23	7,803,954	8,245,608
Amounts due to holding company	19 (iii)	3,545,644	2,979,970
Amounts due to related companies	19 (ii)	11,826	79,326
Short term borrowings	24	3,804,232	4,069,010
		15,409,648	**15,380,662**
TOTAL EQUITY AND LIABILITIES		**36,185,372**	**34,225,035**

The financial statements were approved and authorised for issue by the Board of Directors on 28th March 2017 and were signed on its behalf by:

.... Director

.... Director

STATEMENT OF **CHANGES IN EQUITY**
FOR THE YEAR ENDED 31 DECEMBER 2016

	Share capital KShs'000	Share premium KShs'000	Retained earnings KShs'000	Total equity KShs'000
As at 1 January 2015	9,974,771	1,967,520	4,483,132	16,425,423
Dividends declared – 2014 (Note 11)	-	-	(440,680)	(440,680)
Profit for the year	-	-	1,615,003	1,615,003
Other comprehensive income	-	-	-	-
Total comprehensive income	**-**	**-**	**1,615,003**	**1,615,003**
As at 31 December 2015	**9,974,771**	**1,967,520**	**5,657,455**	**17,599,746**
As at 1 January 2016	9,974,771	1,967,520	5,657,455	17,599,746
Dividends declared – 2015 (Note 11)	-	-	(484,748)	(484,748)
Profit for the year	-	-	2,234,292	2,234,292
Other comprehensive income	-	-	-	-
Total comprehensive income	**-**	**-**	**2,234,292**	**2,234,292**
As at 31 December 2016	**9,974,771**	**1,967,520**	**7,406,999**	**19,349,290**

STATEMENT OF **CASH FLOWS**

FOR THE YEAR ENDED 31 DECEMBER 2016

	Notes	2016 KShs'000	2015 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	25 (i)	4,964,933	8,912,909
Tax paid	9 (iii)	(1,363,942)	(1,085,418)
Net cash generated from operating activities		**3,600,991**	**7,827,491**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	12	(1,304,318)	(1,496,485)
Purchase of prepaid operating leases	13	(227,533)	(248,078)
Purchase of intangible assets	15	(4,939)	(14,675)
Interest income on bank deposits	7 (a)	163,492	127,073
Proceeds on disposal of property, plant and equipment		65,813	15,979
Proceeds on disposal of assets held for sale		-	230,556
Net cash used in investing activities		**(1,307,485)**	**(1,385,630)**
CASH FLOWS FROM FINANCING ACTIVITIES			
Interest expense on borrowings	7 (b)	(26,834)	(39,428)
Dividends paid	11	(484,748)	(440,680)
Net cash used in financing activities		**(511,582)**	**(480,108)**
Net increase in cash and cash equivalents		1,781,924	5,961,753
Effect of exchange rate changes on cash and cash equivalents		(607,300)	(573,750)
Cash and cash equivalents as at 1 January		(1,453,450)	(6,841,453)
Cash and cash equivalents as at 31 December	**25 (ii)**	**(278,826)**	**(1,453,450)**

1. SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Kenyan Companies Act, 2015. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings, which is also the company's functional currency, rounded to the nearest thousand (KShs' 000).

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. It also requires directors to exercise judgment in the process of applying the company's accounting policies. Although these estimates are based on the directors' best knowledge of current events and circumstances, actual results may differ from those estimates. Note 2 below on 'significant accounting judgments and key sources of estimation uncertainty' highlights the areas that involve a higher level of judgement, or where the estimates or assumptions used are significant to the financial statements.

For purposes of reporting under the Kenyan Companies Act, 2015, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is represented by the statement of profit or loss and other comprehensive income.

b) New and amended standards, interpretations and improvements

The accounting policies adopted are consistent with those of the previous financial year, except for the following amendments to IFRS effective as of 1 January 2016. The new standards and amendments effective as of 1 January 2016 are listed below:

- IFRS 14 "Regulatory Deferral Accounts"
- Amendments to IFRS 11 "Joint Arrangements": Accounting for Acquisitions of Interests in Joint Operations
- Amendments to IFRS 10, IFRS 12 and IAS 28 "Investment Entities": Applying the Consolidation Exception
- Amendments to various standards "Improvements to IFRSs (cycle 2012-2014)"
- Amendments to IAS 1: Disclosure Initiative
- Amendments to IAS 16 and IAS 38: Clarification of Acceptable Methods of Depreciation and Amortisation
- Amendments to IAS 16 and IAS 41 "Agriculture": Bearer Plants
- Amendments to IAS 27: Equity Method in Separate Financial Statements

The nature and the impact of each relevant new standard or amendment is described below.

Amendments to various standards "Improvements to IFRS (cycle 2012-2014)"

Amendments to various standards and interpretations resulting from the annual improvement project of IFRS (IFRS 5, IFRS 7, IAS 19 and IAS 34) primarily with a view to removing inconsistencies and clarifying wording. The revisions clarify the required accounting recognition in cases where free interpretation used to be permitted. Changes include new or revised requirements regarding: (i) changes in methods of disposal; (ii) servicing contracts; (iii) applicability of the amendments to IFRS 7 to condensed interim financial statements; (iv) discount rate: regional market issue; (v) disclosure of information 'elsewhere in the interim financial report'. The amendments are to be applied for annual periods beginning on or after 1 January 2016 and have no impact on the financial statements of the company as the company has no interim financial reports, no changes in its methods of disposal and no defined benefits scheme.

Amendments to IAS 1: Disclosure Initiative
The amendments to IAS 1 Presentation of Financial Statements clarify, rather than significantly change, existing IAS 1 requirements. The amendments clarify:

- The materiality requirements in IAS 1
- That specific line items in the statement(s) of profit or loss and OCI and the statement of financial position may be disaggregated
- That entities have flexibility as to the order in which they present the notes to financial statements
- That the share of OCI of associates and joint ventures accounted for using the equity method must be presented in aggregate as a single line item, and classified between those items that will or will not be subsequently reclassified to profit or loss Furthermore, the amendments clarify the requirements that apply when additional subtotals are presented in the statement of financial position and the statement(s) of profit or loss and OCI.

b) New and amended standards, interpretations and improvements (continued)

- These amendments are effective for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments have no impact on the company's financial statements.

Amendments to IAS 16 and IAS 38: Clarification of Acceptable Methods of Depreciation and Amortisation

The amendments clarify the principle in IAS 16 and IAS 38 that revenue reflects a pattern of economic benefits that are generated from operating a business (of which the asset is part) rather than the economic benefits that are consumed through use of the asset. As a result, a revenue-based method cannot be used to depreciate property, plant and equipment and may only be used in very limited circumstances to amortise intangible assets. The amendments are effective prospectively for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments have no impact on the Company's financial statements as it does not use a revenue-based method to depreciate its non-current assets.

Standards, improvements and amendments issued but not yet effective

The list of the standards, improvements and amendments that are effective for periods beginning on or after 1 January 2017 are listed below:

Effective for annual periods beginning on or after 1 January 2017

- IAS 12 Recognition of Deferred Tax Assets for Unrealised Losses - Amendments to IAS 12
- Annual Improvements 2014-2016 cycle - IFRS12 Disclosure of Interests in Other Entities -Clarification of the scope of the disclosure requirements in IFRS 12

Effective for annual periods beginning on or after 1 January 2018

- IFRS 15 Revenue from Contracts with Customers
- IFRS 9 Financial Instruments
- IFRS 2 Classification and Measurement of Share-based Payment Transactions - Amendments to IFRS 2
- Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts - Amendments to IFRS
- Transfers of Investment Property (Amendments to IAS 40)
- IFRIC Interpretation 22 Foreign Currency Transactions and Advance Consideration
- Annual Improvements 2014-2016 cycle
  - IFRS 1 First-time Adoption of International Financial Reporting Standards - Deletion of short-term exemptions for first-time adopters
  - IAS 28 Investments in Associates and Joint Ventures - Clarification that measuring investees at fair value through profit or loss is an investment - by - investment choice

The standards, improvements and amendments that are issued, but not yet effective, up to the date of issuance of the Company's financial statements which are relevant to the Company are disclosed below. The Company intends to adopt these standards, if applicable, when they become effective.

IFRS 9 Financial Instruments

In July 2015, the IASB issued the final version of IFRS 9 Financial Instruments which reflects all phases of the financial instruments project and replaces IAS 39 Financial Instruments: Recognition and Measurement and all previous versions of IFRS 9. IFRS 9 brings together all three aspects of the accounting for financial instruments project: classification and measurement, impairment and hedge accounting. IFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Except for hedge accounting, retrospective application is required but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions.

The Company plans to adopt the new standard on the required effective date. In 2015, the Company performed a high-level impact assessment of all three aspects of IFRS 9. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Company in the future. Overall, the Company expects no significant impact on its balance sheet and equity.

(a) Classification and measurement

The Company does not expect a significant impact on its balance sheet or equity on applying the classification and measurement requirements of IFRS 9. The company currently has no financial instruments measured at fair value.

b) New and amended standards, interpretations and improvements (continued)

Trade receivables are held to collect contractual cash flows and are expected to give rise to cash flows representing solely payments of goods sold. Thus, the company expects that these will continue to be measured at amortised cost under IFRS 9. However, the company will analyse the contractual cash flow characteristics of those instruments in more detail before concluding whether all those instruments meet the criteria for amortised cost measurement under IFRS 9.

(b) Impairment

IFRS 9 requires the company to record expected credit losses on all of its trade receivables, either on a 12-month or lifetime basis. The company expects to apply the simplified approach and record lifetime expected losses on all trade receivables. The company does not expect a significant impact on its equity due to secured nature of its receivables, but it will need to perform a more detailed analysis which considers all reasonable and supportable information, including forward-looking elements to determine the extent of the impact.

(c) Hedge accounting

The company has no existing hedge relationships that qualify for hedge accounting under IFRS 9.
IFRS 15 Revenue from Contracts with Customers

IFRS 15 was issued in May 2014 and establishes a five-step model to account for revenue arising from contracts with customers. Under IFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

The new revenue standard will supersede all current revenue recognition requirements under IFRS. Either a full retrospective application or a modified retrospective application is required for annual periods beginning on or after 1st January 2018. Early adoption is permitted. The company plans to adopt the new standard on the required effective date using the full retrospective method. During 2015, the company performed a preliminary assessment of IFRS 15, which is subject to changes arising from a more detailed ongoing analysis. Furthermore, the company is considering the clarifications issued by the IASB in April 2016 and will monitor any further developments.
The company is in the business of selling petroleum products.

(d) Sale of goods

Contracts with customers in which sale of petroleum is the only performance obligation are not expected to have any impact on the company. The company expects the revenue recognition to occur at a point in time when control of the asset is transferred to the customer, generally on delivery of the goods.
In applying IFRS 15, the company is considering the following:

(i) Variable consideration

Some contracts with customers provide a right of return, trade discounts or volume rebates. Currently, the company recognises revenue from the sale of goods measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates. IFRS 15 requires the estimated variable consideration to be constrained to prevent over-recognition of revenue.

(ii) Warranty obligations

The company does not provide warranties to its customers due to the nature of its business.

(iii) Loyalty points programme

The company does not currently have in place a loyalty programme offered to its customers.

(e) Rendering of services

The company does not provide services but deals in the sale of petroleum products. The company plans to adopt the new standard on the required effective date using the full retrospective method.

IFRS 16 Leases
The IASB issued IFRS 16 Leases on 13th January 2016. The scope of the new standard includes leases of all assets, with certain exceptions. A lease is defined as a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.

Key features:

- The new standard requires lessees to account for all leases under a single on-balance sheet model (subject to certain exemptions) in a similar way to

b) New and amended standards, interpretations and improvements (continued)

finance leases under IAS 17.

- Lessees recognise a liability to pay rentals with a corresponding asset, and recognise interest expense and depreciation separately.
- The new standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computer) and short-term leases (i.e., leases with a lease term of 12 months or less).
- Reassessment of certain key considerations (e.g., lease term, variable rents based on an index or rate, discount rate) by the lessee is required upon certain events.
- Lessor accounting is substantially the same as today's lessor accounting, using IAS 17's dual classification approach.

The new standard is effective for annual periods beginning on or after 1st January 2019. Early application is permitted, but not before an entity applies IFRS 15. The new standard permits a lessee to choose either a full retrospective or a modified retrospective transition approach.

IAS 7 Disclosure Initiative – Amendments to IAS 7
The amendments to IAS 7 Statement of Cash Flows are part of the IASB's Disclosure Initiative and require an entity to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes. On initial application of the amendment, entities are not required to provide comparative information for preceding periods. These amendments are effective for annual periods beginning on or after 1st January 2017, with early application permitted. Application of amendments will result in additional disclosure provided by the company.

IAS 12 Recognition of Deferred Tax Assets for Unrealised Losses – Amendments to IAS 12.
The amendments clarify that an entity needs to consider whether tax law restricts the sources of taxable profits against which it may make deductions on the reversal of that deductible temporary difference. Furthermore, the amendments provide guidance on how an entity should determine future taxable profits and explain the circumstances in which taxable profit may include the recovery of some assets for more than their carrying amount. Entities are required to apply the amendments retrospectively. However, on initial application of the amendments, the change in the opening equity of the earliest comparative period may be recognised in opening retained earnings (or in another component of equity, as appropriate), without allocating the change between opening retained earnings and other components of equity. Entities applying this relief must disclose that fact. These amendments are effective for annual periods beginning on or after 1st January 2017 with early application permitted. If an entity applies the amendments for an earlier period, it must disclose that fact. These amendments are not expected to have any impact on the company.

(f) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The company assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The company has concluded that it is acting as a principal in all of its revenue arrangements. The specific recognition criteria described below must also be met before revenue is recognised.

Sale of goods

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually upon delivery of products and customer acceptance and is stated net of value added tax, returns, rebates and discounts.

Interest income

For all financial instruments measured at amortised cost and interest-bearing financial assets, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest income is included in finance income in profit or loss.

Rental income

Rental income is recognised when the company's right

b) New and amended standards, interpretations and improvements (continued)

to receive the rent payment is established. The company sublets some of its station shops to dealers.

Commission income

Commission income arises from charges to stations for business provided through bon voyage customers. Commission income is recognised when the company's right to receive the commission payment is established. All other revenue is recognised at the time goods are supplied or services are provided.

(g) Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition-date fair values and the amount of any non-controlling interest in the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- Deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share based payment arrangements of the company entered into to replace share-based payment arrangements of the acquiree are measured in accordance with IFRS 2 Share-based Payment at the acquisition date; and,
- Assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a gain on a bargain purchase.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

When the consideration transferred by the company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Other contingent consideration that is within the scope of IAS 39 is measured at fair value at each reporting date and changes in fair value are recognised in profit or loss. Contingent consideration that is not within the scope of IAS 39 is measured at fair value at each reporting date and changes in fair value are recognised in profit or loss.

(g) Business combinations (continued)

When a business combination is achieved in stages, the company's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date (i.e. the date when the company obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

(h) Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the company's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit (CGU) to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit.

Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the gain or loss on disposal.

(i) Leasing

(i) Determination

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

(ii) Company as a lessee

Leases which do not transfer to the company substantially all the risk and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognised as an expense in profit or loss on a straight line basis over the lease term contingent rental payable are recognised as expenses in the period in which they are incurred.

Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease and recognised in profit or loss under operating expenses.

(iii) Company as a lessor

Leases in which the company does not transfer substantially all the risks and benefits of ownership of an asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

(j) Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the property, plant and equipment

(j) Property, plant and equipment (continued)

and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of property, plant and equipment are required to be replaced at intervals, the company recognises such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are met. All other repair and maintenance costs are recognised in profit or loss as incurred.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual instalments over their estimated useful lives.

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Property, plant and machinery	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

The company reviews the estimated useful lives, the methods of depreciation and residual values of property, plant and equipment at the end of each reporting period and adjusts them prospectively, if appropriate. During the financial year, no changes to the useful lives and residual values were identified by the Directors.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss when the asset is derecognised.

(k) Intangible assets acquired separately and in business combinations

Intangible assets acquired separately are measured on initial recognition at cost. Subsequently, they are reported at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost).

Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category that is consistent with the function of the intangible assets. Intangible assets with indefinite useful lives and intangible assets not yet available for use are not amortised but are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired. The company did not have any intangible assets with indefinite useful lives.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal.

Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

The impairment policy on non-financial assets is discussed under note 1 (r).

(l) Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.
When the company is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the company will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell. Property, plant and equipment and intangible assets are not depreciated or amortised once classified as held for sale.

Assets and liabilities classified as held for sale are presented separately as current items in the statement of financial position.

Impairment of non-current assets held for sale

The company assesses at each reporting date whether there is objective evidence that non-current assets held for sale are impaired. Non-current assets held for sale are deemed to be impaired if fair value less costs to sell is lower than carrying amounts.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the fair value less costs to sell, and is recognised in profit or loss.

The company recognises a gain in profit or loss for any subsequent increase in fair value less costs to sell of an asset, but not in excess of the cumulative impairment loss that has been previously recognised.
The company also recognises a gain or loss not previously recognised by the date of the sale of a non-current asset at the date of derecognition.

(m) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined on a weighted average cost basis and comprises purchase price and other costs incurred to bring the inventories to their present location and condition, together with refining costs as appropriate. For products refined locally, costs are allocated over the refinery output in proportion to the appropriate world market prices. Net realisable value is the estimate of the selling price in the ordinary course of business less the estimated costs of completion and the estimated costs to make the sale. Specific provision is made for obsolete, slow moving and defective inventories.

(n) Financial instruments

Financial assets and financial liabilities are recognised when a company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to the fair value of the financial assets or financial liabilities on initial recognition.

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Financial assets

Financial assets are classified into the following specified categories: financial assets 'at fair value through profit or loss' (FVTPL), 'held-to-maturity' investments, 'available-for-sale' (AFS) financial assets and 'loans and receivables'. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

The company's financial assets include bank and cash balances, trade and other receivables and amounts due

(n) Financial Instruments (continued)

from related companies.

Trade receivables and amounts due from related companies

Trade receivables and amounts due from related companies are classified as 'loans and receivables'. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method, less impairment? Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in profit or loss. The losses arising from impairment are recognised, in profit or loss, in operating expenses.

Cash and cash equivalents

Cash equivalents include short term liquid investments which are readily convertible to known amounts of cash that are within three months of maturity when acquired, less advances from the banks and related parties repayable within three months from the date of advance.

Cash on hand and in banks and short term deposits which are held to maturity are carried at cost plus interest earned but not yet received at the reporting date.

For the purpose of the statement of cash flows, cash and cash equivalents comprise bank and cash balances as defined above, net of outstanding overdrafts from banks and related parties.

Impairment of financial assets

The company assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if there is objective evidence of impairment as a result of one or more events that have occurred since the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets, that can be reliably estimated.

Evidence of impairment may include indications that a debtor or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and observable data indicating that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

For financial assets carried at amortised cost, the company first assesses whether impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the company determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in profit or loss.

If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in profit or loss.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the asset have expired, or the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a

(n) Financial Instruments (continued)

pass-through arrangement; and either (a) the company has transferred substantially all the risks and rewards of the asset, or (b) the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset. When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership.

When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the company continues to recognise the transferred asset to the extent of the company's continuing involvement. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained. Continuing involvement that takes the form a guarantee over the transferred asset is measured lower than the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by a company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements, the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the company are recognised at the proceeds received, net of direct issue costs. The company's equity instruments include redeemable preference shares.

Repurchase of the company's own equity instruments is recognised and deducted directly in equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the company's own equity instruments.

Financial liabilities

Financial liabilities are classified as financial liabilities 'at FVTPL', loans and borrowings or 'other financial liabilities'.

The company's financial liabilities include trade and other payables, borrowings and amounts due to holding company and related companies.

Loans, borrowings and 'other financial liabilities'

Loan, borrowings and 'other financial liabilities' are recognised initially at fair value and are subsequently measured at amortised cost using the effective interest method.

The effective interest method calculates the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that discounts estimated future cash payments exactly (including all fees and points paid or received, that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position, if there is a currently enforceable legal right to offset the recognised amounts and an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

(o) Foreign currencies

In preparing the financial statements of the company, transactions in currencies other than Kenyan Shillings, the entity's functional currency, i.e. foreign currencies, are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise, except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in other comprehensive income, profit or loss are also recognised in other comprehensive income, profit or loss, respectively).

(p) Tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit, as reported in the statement of comprehensive income, because of items of income or expense that are taxable or deductible in other years, and items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Current tax relating to items recognised outside profit or loss is recognised outside profit or loss. Current tax items are recognised in correlation to the underlying transaction either in other comprehensive income, or directly in equity.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable nor accounting profit or loss.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or

(p) Tax (continued)

substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, to recover or settle the carrying amounts of its assets and liabilities at the end of the reporting period.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(iii) Value added tax

Expenses and assets are recognised net of the amount of value added tax, except when:

I. The value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable; and,

II. Receivables and payables are stated with the amount of value added tax included.

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(q) Employee entitlements

i) Retirement benefit costs

The company operates two defined contribution pension plans: one registered locally and the other registered off-shore for its employees. The assets of the plans are held in separate trustee administered funds.
The plans are funded by contributions from both the employees and the company. Benefits are paid to retiring staff in accordance with the rules of the respective plans.

Contributions to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions. The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute.

Contributions by the company in respect of retirement benefit costs are charged to profit or loss in the year to which they relate.

ii) Leave

Employee entitlements to annual leave are recognised when they are expected to be paid to employees. A provision is made for the estimated liability for annual leave at the reporting date.

iii) Bonus

An accrual is recognised for the amount expected to be paid under short-term cash bonus if the company has a present legal and constructive obligation to pay this amount as a result of past service provided by the employee, the obligation can be estimated reliably and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

(r) Dividends

Dividends on ordinary and redeemable preference shares are charged to equity in the period in which they are declared.

(s) Earnings per share

Earnings per share are calculated by dividing the profit/loss after tax by the weighted average number of ordinary shares and redeemable preference shares outstanding during the year.

(t) Borrowing costs

Borrowing costs directly attributable to the acquisition,

construction or production of an asset that necessarily

(t) Borrowing costs (continued)

takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset.

All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

(u) Impairment of non-financial assets

At each reporting date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. An asset's recoverable amount is higher than the asset's or cash-generating unit's (CGU) fair value, less costs of disposal, and its value in use.

Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised as an expense immediately.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

An assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or has decreased. If such indication exists, the company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, or exceed the carrying amount that would have been determined, net of depreciation or depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

Goodwill

Goodwill is tested for impairment annually as at 31st December and when circumstances indicate that the carrying amount may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods. Further details are contained in note 2 (b).

(v) Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event. It is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

2. SIGNIFICANT ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the company's accounting policies, the Directors have made estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, the accompanying disclosures, and the disclosure of contingent liabilities within the next financial year.
Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

2. SIGNIFICANT ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (continued)

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

The key areas of judgement and sources of estimation uncertainty are as set out below:

(a) Critical judgments in applying accounting policies

There are no critical judgements, apart from those involving estimations (see b below), that the directors have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

(b) Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash generating unit and a suitable discount rate in order to calculate present value. The carrying amount of goodwill at 31st December, 2016 was KShs 416,679,000 (2015 – KShs 416,679,000) and no impairment loss was recognised during the year. Further details on goodwill are given in note 14.

Useful lives of property, plant and equipment

The company reviews the estimated useful lives and residual values of property, plant and equipment at the end of each reporting period. In reviewing the useful lives of property, plant and equipment, the company considers the remaining period over which an asset is expected to be available for use. Management also looks at the number of production or similar units expected to be obtained from the property, plant and equipment. Judgment and assumptions are required in estimating the remaining useful period and estimates of the number of production or similar units expected to be obtained from the property, plant and equipment. Further details on property, plant and equipment are given in note 1 (g) and 12.

Contingent liabilities

As disclosed in note 26 to these financial statements, the company is exposed to various contingent liabilities in the normal course of business. The directors evaluate the status of these exposures on a regular basis to assess the probability of the company incurring the related liabilities. However, provisions are only made in the financial statements where, based on the directors' evaluation, a present obligation has been established, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Allowance for bad and doubtful debts

The company reviews its trade receivables at each reporting date to assess whether an allowance for bad and doubtful should be recorded in profit or loss. In particular, judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance. See note 18 for further details.

Impairment of non-financial assets

At each reporting date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Impairment exists when the carrying amount of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

In assessing whether there is any indication that the tangible and intangible assets may be impaired, the company considers the following indications:

i. There are observable indications that the asset's value has declined during the period significantly more than would be expected as a result of the passage of time or normal use.

ii. Significant changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, market, economic or legal environment in which the entity operates or in the market to which an asset is dedicated.

iii. Market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating an asset's value in use and decrease the asset's recoverable amount materially.

iv. The carrying amount of the net assets of the entity is more than its market capitalisation.

v. Evidence is available of obsolescence or physical damage of an asset.

vi. Significant changes, with an adverse effect on the entity, have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite

vii. Evidence is available from internal reporting that indicates that the economic performance of an asset is, or will be, worse than expected.

Further details on property, plant and equipment are given in note 12, goodwill in note 14, and intangible assets in note 15.

Income taxes

The company is subject to income taxes in Kenya. Significant judgment is required in determining the company's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The company recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provision in the period in which such determination is made.

Further details on income taxes are disclosed in notes 9 and 16.

3. NET SALES ANALYSIS

The major business of the company is the sale of petroleum products, with other income comprising less than 5% of the total income. Net sales by business channel are shown below:

(i) Business channels

	2016 KShs'000	2015 KShs'000
General trade	16,117,859	20,324,907
Network	31,931,817	37,817,656
Aviation	5,249,763	8,742,419
Export and bulk	35,761,485	53,369,012
Total net sales	**89,060,924**	**120,253,994**

(ii) Geographical analysis

	2016 KShs'000	2015 KShs'000
Local sales	84,396,104	114,610,033
Export sales	4,664,820	5,643,961
Total net sales	**89,060,924**	**120,253,994**

4. COST OF SALES

	2016 KShs'000	2015 KShs'000
Product purchases	74,683,480	106,698,902
Other variable costs	6,525,854	6,564,665
	81,209,334	**113,263,567**

5. OTHER INCOME

	2016 KShs'000	2015 KShs'000
Rental income	453,839	363,138
Commission income	146,188	89,698
Gain on disposal of property, plant and equipment	23,061	41
Gain on disposal of assets classified as held for sale	-	225,351
Other income*	266,670	18,439
Doubtful debts written back (Note 18)	73,238	69,398
	962,996	**766,065**

*Other income mainly relates to write back of provisions resulting from continuous business risks assessments.

6. OPERATING EXPENSES

	2016 KShs'000	2015 KShs'000
Directors' emoluments – fees (note 19 (vii))	6,100	2,300
- other emoluments (note 19 (vii))	84,043	97,583
Payroll and staff costs (Note 6 (a))	1,327,177	1,288,449
Depreciation on property, plant and equipment (Note 12)	1,195,628	1,157,443
Amortisation of prepaid operating leases (Note 13)	165,483	131,856
Amortisation of intangible assets (Note 15)	17,658	19,345
Repairs and maintenance	472,313	446,168
Technical assistance [Note 19 (v)]	410,377	423,894
Utilities	321,582	295,600
Operating lease rentals	167,762	182,380
Other expenses*	209,045	227,354
Legal and other professional fees	72,490	95,911
Advertising and promotion	257,275	278,880
Increase in doubtful debt provision (Note 18)	88,772	75,995
Travelling	96,376	99,927
Insurance	95,682	74,228
Loss on disposal of intangible assets	-	1,838
Auditors' remuneration	6,590	5,948
	4,994,353	**4,905,099**

*Other expenses relate mainly to expensed reverse VAT, bank charges, seminar and conference costs.

(a) PAYROLL AND STAFF COSTS

	2016 KShs'000	2015 KShs'000
Wages and salaries	956,451	914,675
Pension costs – defined contribution plans and NSSF	114,921	113,063
Staff medical costs	29,688	32,907
Staff training costs	13,762	12,811
Provision for accrued leave	-	9,446
Staff motor vehicle, mileage and other costs	212,355	205,547
Total personnel expenses	**1,327,177**	**1,288,449**
Average number of employees (permanent staff)	369	366

7. a) FINANCE INCOME

Interest income on bank deposits	163,492	127,073

b) FINANCE COSTS

Interest expense on borrowings	26,834	39,428

c) NET FOREIGN EXCHANGE LOSS

Realised foreign exchange loss	16,119	363,584
Unrealised foreign exchange loss/gain	5,409	(43,242)
Net foreign exchange loss	**21,528**	**320,342**

8. PROFIT BEFORE TAX

The profit before tax is arrived at after charging:	**2016 KShs'000**	**2015 KShs'000**
Staff costs [Note 6 (a)]	1,327,177	1,288,449
Depreciation on property, plant and equipment (Note 12)	1,195,628	1,157,443
Amortisation of prepaid operating leases (Note 13)	165,483	131,856
Amortisation of intangible assets (Note 15)	17,658	19,345
Loss on disposal of intangible assets (Note 6)	-	1,838
Directors' emoluments (Note 6):		
- Fees	6,100	2,300
- Other emoluments	84,043	97,583
Auditors' remuneration (Note 6)	6,590	5,948
Foreign exchange loss	21,528	320,342
And after crediting:		
Gain on disposal of property, plant and equipment (Note 5)	23,061	41
Gain on disposal of assets classified as held for sale (Note 5)	-	225,351

9. TAX

(i) Tax charge

Current income tax:		
- Current income tax charge	1,371,510	1,006,750
- Adjustment in respect of current income tax of previous years	253,370	29,306
	1,624,880	1,036,056
Deferred tax:		
- Relating to origination and reversal of temporary differences [Note 16 (ii)]	76,191	(32,363)
TOTAL	**1,701,071**	**1,003,693**

(ii) Reconciliation of tax charge to expected tax based on accounting profit

Accounting profit before tax	3,935,363	2,618,696
Tax at the applicable rate of 30%	1,180,608	785,609
Adjustment in respect of current income tax of previous years	253,370	29,306
Tax effect of expenses not deductible for tax	267,093	188,778
Tax charge	**1,701,071**	**1,003,693**

(iii) Tax recoverable/(payable)

Balance at 1 January	16,946	(32,416)
Adjustment in respect of current income tax of previous years	(253,370)	(29,306)
Charge to profit or loss	(1,371,510)	(1,006,750)
Payments during the year	1,363,942	1,085,418
Balance at 31 December	**(243,992)**	**16,946**

10. EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit after tax attributable to shareholders by the weighted average number of ordinary and redeemable preference shares in issue during the year, as shown below:

	2016 KShs'000	2015 KShs'000
Profit after tax	2,234,292	1,615,003
Basic earnings per share		
Weighted average number of ordinary and redeemable preference shares used in the calculation of basic earnings per share (in thousands of shares)	629,542	629,542
Basic and diluted earnings per share (KShs)	**3.55**	**2.57**

Diluted earnings per share

The diluted earnings per share is the same as basic earnings per share as there were no potentially dilutive instruments outstanding at the end of the reporting period.

11. DIVIDENDS

a) Unclaimed dividends	**2016 KShs'000**	**2015 KShs'000**
The movement in unclaimed dividend is as follows:		
At 1 January	6,748	6,748
Final dividend declared 2015 and 2014	484,748	440,680
Dividend paid	(484,748)	(440,680)
Transferred to Unclaimed Financial Assets Authority (UFAA)	(6,748)	-
Balance at 31st December	**-**	**6,748**
b) Dividends declared/proposed in respect of the year		
Proposed for approval at the Annual General Meeting (not recognised as a liability as at 31st December):	**670,288**	**484,748**
Dividends per share on declared/proposed dividends for the year (based on number of shares per note 21)	**KShs 1.06**	**KShs 0.77**

In respect to the current year, the Directors propose that a final dividend of KShs 1.06 (2015-KShs 0.77) per share, equivalent to a total sum of KShs 670 million (2015: KShs 485 million), be paid to the shareholders.

The final dividend is subject to approval by owners of the company at the Annual General Meeting and has not been included as a liability in these financial statements.

Withholding tax

Payment of dividends is subject to withholding tax at a rate of 10% for non-resident owners of the company and 5% for resident shareholders. For resident owners of the company, withholding tax is only deductible where the share-holding is below 12.5%.

12. PROPERTY, PLANT AND EQUIPMENT

(i) Year ended 31 December 2016

	Land and buildings	Property, plant and machinery	Furniture, fittings and equipment	Capital work -in-progress	Total
COST	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
At 1 January 2016	4,173,724	13,348,098	868,611	521,899	18,912,332
Additions	153,954	748,058	43,241	359,065	1,304,318
Transfers	17,480	351,556	18,106	(387,142)	-
Disposals	(35,987)	(131,935)	(149,960)	-	(317,882)
At 31 December 2016	**4,309,171**	**14,315,777**	**779,998**	**493,822**	**19,898,768**
DEPRECIATION					
At 1 January 2016	1,774,985	7,453,948	740,616	-	9,969,549
Charge for the year	201,954	935,060	58,614	-	1,195,628
Disposals	(20,298)	(108,037)	(146,795)	-	(275,130)
At 31 December 2016	**1,956,641**	**8,280,971**	**652,435**	**-**	**10,890,047**
NET CARRYING AMOUNT					
At 31 December 2016	**2,352,530**	**6,034,806**	**127,563**	**493,822**	**9,008,721**

12. PROPERTY, PLANT AND EQUIPMENT (continued)

(ii) Year ended 31 December 2015

	Land and buildings	Property, plant and machinery	Furniture, fittings and equipment	Capital work -in-progress	Total
COST	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**
At 1 January 2015	3,925,708	12,206,041	780,744	553,436	17,465,929
Additions	172,641	853,347	63,908	406,589	1,496,485
Transfers	82,563	329,702	25,861	(438,126)	-
Disposals	(7,188)	(40,992)	(1,902)	-	(50,082)
At 31 December 2015	**4,173,724**	**13,348,098**	**868,611**	**521,899**	**18,912,332**
DEPRECIATION					
At 1 January 2015	1,580,425	6,576,107	689,718	-	8,846,250
Charge for the year	197,895	906,911	52,637	-	1,157,443
Disposals	(3,335)	(29,070)	(1,739)	-	(34,144)
At 31st December 2015	**1,774,985**	**7,453,948**	**740,616**	**-**	**9,969,549**
NET CARRYING AMOUNT					
At 31 December 2015	**2,398,739**	**5,894,150**	**127,995**	**521,899**	**8,942,783**

(iii) Capital work-in-progress

The capital work-in-progress relates mainly to construction work (e.g. rebranding and remodelling of stations) and technical installations being undertaken by the company.

There were no borrowing costs capitalised during the year ended 31st December 2016 (2015 - Nil).

Based on an impairment review performed by the directors as at 31st December 2016, no indications of impairment of property, plant and equipment were identified (2015 - none).

Commitments to acquire property, plant and equipment as at year end are included in note 26 (c).

(iv) Impact of the Enactment of the Land Registration Act No. 3 2012 on the Company's Land Holding Status

The revised Constitution, enacted on 27 August 2010, introduced significant changes in the landholding by non-citizens. The Constitution no longer allows foreigners and foreign bodies to own freehold land and leasehold land in excess of 99 years. Freehold land and leasehold land of more than 99 years owned by foreigners and foreign bodies automatically become 99 year leases upon enactment of the required legislation under Articles 65 (4) of the revised constitution. These changes in the landholding took effect on 2 May 2012 upon the enactment of the Land Registration Act No. 3 of 2012.

As per the definition in Article 65 (3) of the Constitution, the company is a non-citizen, since it is not wholly owned by Kenyan citizens, and hence the status of its freehold land changes to 99 years lease.

The company has assessed the impact of the amended land laws, and concluded that they do not impact significantly on these financial statements. Under the International Accounting standards No. 17 (IAS 17) Leases, a 99 year lease qualifies for a finance lease classification if the lessor transfers significantly risks and rewards incidental to the ownership of the land to the company. Accordingly, the 99 year lease would qualify as finance leases. The company currently accounts for its land previously classified as freehold in a similar manner to finance leases.

The company is waiting for the National Land commission to issue guidelines that will operationalise the provisions of the constitution and the revised land laws. The company will continue to reassess the impact of the revised land laws on the financial statements as the guidelines are issued.

13. PREPAID OPERATING LEASES

COST	**2016 KShs'000**	**2015 KShs'000**
At 1 January	1,741,758	1,493,680
Additions	227,533	248,078
At 31 December	**1,969,291**	**1,741,758**
AMORTISATION		
At 1 January	917,360	785,504
Amortisation for the year	165,483	131,856
At 31 December	**1,082,843**	**917,360**
NET CARRYING AMOUNT	**886,448**	**824,398**

The prepaid operating leases relate to amounts that the company has paid for the leased land on which most of its stations and depots stand.

14. GOODWILL

	2016 KShs'000	2015 KShs'000
Cost		
Balance at beginning and end of year	528,879	528,879
Accumulated impairment losses		
Balance at beginning and end of year	(112,200)	(112,200)
Carrying amount	**416,679**	**416,679**

The goodwill is analysed below:

a) Goodwill arising from acquisition of Elf Oil Kenya Limited

	2016	2015
Cost	448,804	448,804
Accumulated impairment losses	(112,200)	(112,200)
	336,604	**336,604**

Goodwill amounting to KShs 448,804,000 arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001. With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to Total Kenya Limited.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

14. GOODWILL (continued)

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value-in-use calculation which uses cash flow projections based on annual network business financial budgets, and a long term business plan approved by management covering a ten year period. The calculation of value in use is most sensitive to the following assumptions; throughput volumes, unit margins, rental income, gross margins on variable expenses and direct fixed costs. The projected cash flows have been reassessed to compare the assumptions at initial recognition to the current performance of the cash generating units.

The cash flows from the cash generating units are based on expected return on capital invested at between 10% to 25% and a stable market share. Management is of the opinion that any possible reasonable change in these assumptions would not cause the global carrying amount to exceed the recoverable amount.

At 31st December 2016, no impairment loss was assessed (2015 - nil).

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2016 KShs'000	2015 KShs'000
Goodwill - Cost	80,075	80,075

With effect from 1st November 2009, the operations of Total Marketing Kenya Limited were merged with those of Total Kenya Limited. This was achieved through a business sale agreement which resulted in the transfer of all Total Markeing Kenya Limited business, assets and liabilities to Total Kenya Limited. Goodwill amounting to KShs 6,060,047,000 arose from this acquisition of Total Marketing Kenya Limited.

Goodwill amounting to KShs 5,979,972,000 representing the excess fair values over the net carrying amount of assets was transferred to property, plant and equipment following results of a valuation exercise that was carried out in 2010, leaving a balance of KShs 80,075,000.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to the following cash generating unit:

Depot - cash flows and profits from acquired depot

The recoverable amount of the depot as a cash-generating unit is determined based on a value-in-use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2015 - 11% per annum). Cash flows beyond that ten-year period have been extrapolated using a steady 3% (2015 - 3%) per annum growth rate in sales volume. The calculation of value in use is most sensitive to the following assumptions; throughput volumes, unit margins, depot throughput costs, investment expenditure, growth rates used to extrapolate cash flows beyond the forecast period and discount rates. The projected cash flows have been reassessed to compare the assumptions at initial recognition to the current performance of the cash-generating units.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region, and their intention to focus the company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

At 31 December 2016, no impairment loss was assessed (2015 - nil).

The two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited are dormant and no longer operational, having transferred their assets and liabilities to Total Kenya Limited.

15. INTANGIBLE ASSETS

	2016 KShs'000	2015 KShs'000
COST		
At 1 January	456,732	443,896
Additions	4,939	14,675
Disposals	-	(1,839)
At 31 December	**461,671**	**456,732**
AMORTISATION		
At 1 January	369,234	349,890
Charge for the year	17,658	19,345
Accumulated depreciation on disposals	-	(1)
At 31 December	**386,892**	**369,234**
NET CARRYING AMOUNT		
At 31 December	**74,779**	**87,498**

The intangible assets relate to accounting, payroll and other computer software acquired by the company.

16. DEFERRED TAX ASSET

(i) The net deferred tax asset is attributable to the following:

	2016 KShs'000	2015 KShs'000
Accelerated depreciation	98,729	157,037
Unrealised exchange gain	(97,684)	(168,060)
Unrealised exchange loss	70,341	139,095
Leave provision	18,008	19,539
Provision for retirement benefits	21,299	23,135
Bonus provision	5,488	5,165
Stock provision	109,162	166,033
Legal costs provision	160,471	146,971
Provision for doubtful debts	33,481	6,571
Net deferred tax asset	**419,295**	**495,486**

(ii) Movement on the deferred tax account is as follows:

At 1 January	495,486	463,123
Deferred tax (loss)/credit recognized in profit or loss (Note 9 (i))	(76,191)	32,363
At 31 December	**419,295**	**495,486**

Deferred tax is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2015 - 30%).

17. INVENTORIES

	2016 KShs'000	2015 KShs'000
Refined products	9,504,337	8,199,561
Raw materials	2,157,448	1,362,571
Consumables and accessories	418,771	455,845
	12,080,556	**10,017,977**

Included in the value of refined products are balances relating to fuel inventories at Kenya Petroleum Refineries Limited (KPRL). In 2012, KPRL changed its mode of operations from Toll Mode to Merchant Mode. At the time of this change, KPRL had fuel inventories owed to the Oil Marketing Companies (OMCs). Subsequently, in 2013, OMCs and KPRL, under the direction of Ministry of Energy, agreed to carry out a forensic audit of the fuel inventory balances including yield shifts held at KPRL. As part of the forensic audit procedures, KPRL confirmed to the Company their fuel balances which were then reconciled to the books of account and the balances reported in the forensic audit report. The necessary adjustments were made to tally the two records.

As at 31 December 2016, the company had taken appropriate measures together with other OMCs to recover these inventories. These measures include ongoing discussions with KPRL, Ministry of Energy and Petroleum (MoE&P) and Energy Regulatory Commission (ERC) to agree on the modalities of how and when these inventories will be refunded.

As part of the Company's policy, management evaluates the net realisable values of all inventories including those at KPRL, and writes down inventories to their net realisable values, if necessary, in the books of account to ensure that inventories are fairly stated and reported as per the requirements of the International Financial Reporting Standards (IFRS).

As at 31 December 2016, management is confident that the full value of the inventories under the custody of KPRL is fully recoverable and no further adjustment is required.

18. TRADE AND OTHER RECEIVABLES

	2016 KShs'000	2015 KShs'000
Trade receivables	8,748,113	9,286,641
Allowance for doubtful debts	(489,004)	(473,470)
	8,259,109	8,813,171
Recoverable taxes	346,236	518,584
Other receivables and prepayments	108,740	86,549
	8,714,085	**9,418,304**

Recoverable taxes relate to advance import duties on petroleum products and value added tax. Trade receivables are non-interest bearing and are generally on terms of 30 to 90 days.

Other receivables and prepayments relate to amounts advanced to and recoverable from staff and other advance payments. Other receivables are non-interest bearing and are generally on terms of 60- 90 days.

As at 31st December 2016, trade receivables of an initial value of KShs 489 million (2015 - KShs 473 million) were impaired and fully provided for. See below for the movement in the provision for impairment of receivables.

	2016 KShs'000	2015 KShs'000
At beginning of year	(473,470)	(466,873)
Increase in doubtful debt provision in the year (Note 6)	(88,772)	(75,995)
Doubtful debts write back (Note 5)	73,238	69,398
At end of year	**(489,004)**	**(473,470)**

19. RELATED PARTY TRANSACTIONS AND BALANCES

The parent of the company is Total Outre-Mer while the ultimate holding company is Total S.A, both incorporated in France.

There are other companies which are related to Total Kenya Limited through common shareholding.

Outstanding balances arising from sale and purchase of goods and services to/from related companies at the year-end are as follows:

(i) Amounts due from related companies

	2016 KShs'000	2015 KShs'000
Air Total International	208,672	320,825
NETCO Management Limited	127,289	201,302
Total Uganda Limited	663,966	717,103
Total RDC S.A.R.L	31,151	122,525
Other related companies	3,961	3,285
	1,035,039	**1,365,040**

(ii) Amounts due to related companies

	2016 KShs'000	2015 KShs'000
Total Malawi Limited	-	941
Total Tanzania Limited	-	303
Total Marketing Services	11,826	-
Total Marketing Middle East	-	78,082
	11,826	**79,326**

(iii) Amounts due to holding company

	2016 KShs'000	2015 KShs'000
Total Outre-Mer	3,545,644	2,979,970

(iv) Financial overdraft from related party

	2016 KShs'000	2015 KShs'000
Financial overdraft from Total SA Treasury (Note 24)	(3,804,232)	(4,069,010)

Financial overdraft from related party relates to an overdraft from Total SA Treasury department. Additional disclosures for the financial overdraft are in Note 24.

19. RELATED PARTY TRANSACTIONS AND BALANCES (continued)

(v) Transactions with related companies

	2016 KShs'000	2015 KShs'000
Purchases of petroleum products from the holding company	47,794,765	65,043,858
Purchases of petroleum products from other related companies	12,293	495,412
Revenue on sale of petroleum products to related companies	4,391,444	5,609,000
Purchases of plant and equipment from the holding company and other related companies	34,539	142,692
Technical assistance (Note 6)	410,377	423,894

(vi) Key management compensation

The remuneration of directors and other members of key management were as follows:

	2016 KShs'000	2015 KShs'000
Salaries and other short-term employment benefits	196,895	196,068
Post-employment benefits	7,524	6,760
	204,419	**202,828**

(vii) Directors' remuneration

Fees for services as a director	6,100	2,300
Other emoluments		
Salaries and other short-term employment benefits	82,775	96,014
Post-employment benefits	1,268	1,569
	84,043	97,583
	90,143	**99,883**

Terms and conditions of transactions with related parties

Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 December 2016, the company has not recorded any impairment of receivables relating to amounts owed by related parties (2015: Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

20. NON-CURRENT ASSETS CLASSIFIED AS HELD FOR SALE

	2016 KShs'000	2015 KShs'000
Property, plant and equipment	22,324	22,324
Prepaid operating leases	2,040	2,040
	24,364	**24,364**

The movement in the non-current assets classified as held for sale is as follows:

	2016 KShs'000	2015 KShs'000
At 1 January	24,364	29,569
Disposed during the year	-	(5,205)
At 31 December	**24,364**	**24,364**

The company intends to dispose of some service stations and other facilities in the next 12 months.

No impairment loss was recognized on assets classified as held for sale as at 31 December 2016 as the expected proceeds on disposal exceed the net carrying amounts of the assets.

21. SHARE CAPITAL

	2016 KShs'000	2015 KShs'000
Authorised ordinary shares		
181,630,000 ordinary shares of KShs 5 each	908,150	908,150
Authorised redeemable preference shares		
123,478,388 shares of KShs 31.58 each	3,899,447	3,899,447
Authorised redeemable preference shares		
330,999,364 shares of KShs 15.71 each	5,200,000	5,200,000
Issued ordinary share capital	875,324	875,324
Issued redeemable preference share capital	9,099,447	9,099,447
	9,974,771	**9,974,771**
Issued capital comprises:		
175,064,706 fully paid ordinary shares of KShs 5 each	875,324	875,324
123,478,388 fully paid redeemable preference shares of KShs 31.58 each	3,899,447	3,899,447
330,999,364 fully paid redeemable preference shares of KShs 15.71 each	5,200,000	5,200,000
	9,974,771	**9,974,771**

21. SHARE CAPITAL (continued)

	2016		2015	
Fully paid ordinary and preference shares	**Number of Shares**	**Share Capital**	**Number of Shares**	**Share Shares**
	'000'	**KShs'000**	**'000'**	**KShs'000**
At 1 January				
Ordinary shares	175,065	875,324	175,065	875,324
Redeemable preference shares	454,477	9,099,447	454,477	9,099,447
At 31 December	**629,542**	**9,974,771**	**629,542**	**9,974,771**

The fully paid ordinary shares, which have a par value of KShs 5, carry one vote per share and carry a right to dividends.

The redeemable non-cumulative preference shares, which have issue prices of KShs 31.58 and KShs 15.71, do not have any voting rights but have the same rights to dividends as the ordinary shares. The right to redemption of the redeemable preference shares is at the discretion of the company hence they have been classified as equity.

22. SHARE PREMIUM

	2016 KShs'000	2015 KShs'000
As at 1 January and 31 December	**1,967,520**	**1,967,520**

This is a non-distributable reserve as per the requirements of the Kenyan Companies Act, 2015.
The share premium is the excess of the cash received for ordinary shares above the par value of KShs 5.

23. TRADE AND OTHER PAYABLES

	2016 KShs'000	2015 KShs'000
Trade payables	7,398,964	7,901,825
Other payables and accruals	1,831,424	1,588,410
Total payables	**9,230,388**	**9,490,235**
Classified as:		
Non-current	1,426,434	1,244,627
Current	7,803,954	8,245,608
	9,230,388	**9,490,235**

Terms and conditions of the trade and other payables

Trade payables to non-related parties are non-interest bearing and are normally settled on a 30-day terms. Interest is only charged on trade payables due to purchase of petroleum products at rates set by the Open Tender Supply (OTS) agreement.

Other payables are non-interest bearing and have an average term of six months.

Non-current other payables mainly relate to LPG cylinder deposits and legal provisions.

24. SHORT TERM BORROWINGS

	2016 KShs'000	2015 KShs'000
Financial overdraft – from Total SA Treasury	**3,804,232**	**4,069,010**

Financial overdraft – from Total SA Treasury
The company received an overdraft from a related party, Total SA Treasury, whose interest is pegged to the Libor plus a margin. No collateral is held for this facility.

Bank overdraft – from local banks
Bank overdraft facilities are held with various financial institutions, primarily stable local subsidiaries of international banks, and are unsecured. The facilities are operated within designated limits and under the terms and conditions stipulated by the financial institutions.

25. NOTES TO THE STATEMENT OF CASH FLOWS

(i) Reconciliation of profit before tax to cash generated from operations

			2016 KShs'000	2015 KShs'000
Notes				
Profit before tax			**3,935,363**	**2,618,696**
Adjustments for:				
Effect of exchange rate changes on cash and cash equivalents			607,300	573,750
Finance income		7 (a)	(163,492)	(127,073)
Finance costs		7 (b)	26,834	39,428
Depreciation on property, plant and equipment	1	2	1,195,628	1,157,443
Amortisation of prepaid leases and intangible assets			183,141	151,201
Gain on disposal of assets held for sale		5	-	(225,351)
Loss on disposal of intangible assets		6	-	1,838
Gain on disposal of property, plant and equipment	5		(23,061)	(41)
Operating profit before working capital changes			**5,761,713**	**4,189,891**
(Increase)/ decrease in inventories			(2,062,579)	1,141,087
Decrease /(Increase) in trade and other receivables			704,219	(809,334)
(Decrease)/Increase in trade and other payables			(266,595)	965,144
Increase in amounts due to holding company			565,674	2,785,870
Decrease in balances due from related companies			262,501	640,251
Cash generated from operations			**4,964,933**	**8,912,909**

(ii) Analysis of cash and cash equivalents

	Notes	2016 KShs'000	2015 KShs'000
Cash and bank balances		3,525,406	2,615,560
Financial overdraft – from Total SA Treasury	24	(3,804,232)	(4,069,010)
		(278,826)	**(1,453,450)**

Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents includes cash in hand and in banks, short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, net of outstanding financial and bank overdrafts.

26. COMMITMENTS AND CONTINGENT LIABILITIES

(a) Contingent liabilities

	2016 KShs'000	2015 KShs'000
Total commitments given	574,877	752,511
Total commitments received	1,174,797	1,523,582

Commitments given include primarily customs bonds. The bonds are held in the ordinary course of business. No losses are anticipated in respect of these contingent liabilities. Commitments received include primarily customer guarantees. Commitments received/given are all held with local banks.

(b) Contingent liability relating to parent company

An amount of KShs 249 million (USD 2,427,388) exists as at 31 December 2016 (2015: KShs 248 million (USD 2,427,388) for an unsettled invoice to the parent company, Total Outre-Mer, and has not been provided for in the Total Kenya Limited's books as the goods were not received by Total Kenya Limited. Management is keenly following up on the matter and is of the view that the ultimate resolution of this matter will not have any impact on the company's financial position or liquidity.

(c) Capital commitments

	2016 KShs'000	2015 KShs'000
Authorised and contracted for	818,373	623,622
Authorised but not contracted for	2,360,239	1,595,754

27. OPERATING LEASE COMMITMENTS

(a) Company as lessee

	2016 KShs'000	2015 KShs'000
Maturing within one year	248,010	248,010
Maturing over one year to five years	823,612	888,805
Maturing after five years	803,147	977,752
Total operating lease commitments	**1,874,769**	**2,114,567**

All the commitments relate to future rent payable for the head office (Regal Plaza) and leased land for the service stations based on the existing contracts and projected renewals. The lease agreements are between Total Kenya Limited and landlords and have no provisions relating to contingent rent payable. The terms of renewal vary from one lease to another and may include a written notice to the lessors before the expiration of the leases and the lessors will grant to the lessee new leases of the said premises/properties for a further term as may be mutually agreed by the parties.

(b) Company as lessor

	2016 KShs'000	2015 KShs'000
Maturing within one year	302,850	298,105
Maturing over one year to five years	1,273,288	1,243,709
Maturing after five years	1,823,578	2,156,007
Total operating lease commitments	**3,399,716**	**3,697,821**

28. RETIREMENT BENEFIT PLANS

The company operates defined contribution retirement benefit plans for all qualifying employees. The assets of the plans are held separately from those of the company in funds under the control of trustees. Where employees leave the plans prior to full vesting of the contributions, the contributions payable by the company are reduced by the amount of forfeited contributions.

Also, the company contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute. Contributions to this scheme during the year amounted to KShs 3,457,010 (2015: KShs 4,277,880).

The total expense recognised in profit or loss for the year of KShs 115 million (2015: KShs 113 million) represents contributions payable to the plans by the company at rates specified in the rules of the plans.

29. CAPITAL MANAGEMENT

The company manages its capital to ensure that it is able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains unchanged from 2015.

The capital structure of the company consists of debt, which includes borrowings disclosed in note 24, less bank and cash balances and equity attributable to equity holders, comprising issued capital, share premium as disclosed in notes 21 and 22 and retained earnings.

Gearing ratio

The gearing ratio at the end of the year was as follows:

Note		**2016 KShs'000**	**2015 KShs'000**
Short term borrowings	24	3,804,232	4,069,010
Bank and cash balances	25 (ii)	(3,525,406)	(2,615,560)
Net borrowings		**278,826**	**1,453,450**
Equity*		19,349,290	17,599,746
Net debt to equity ratio		**1.4%**	**8.3%**

*Equity includes capital and reserves.

30. FINANCIAL INSTRUMENTS RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's financial liabilities comprise trade and other payables, amounts due to holding company, amounts due to related companies and short-term borrowings and financial guarantee contracts. The main purpose of these financial liabilities is to finance the company's operations and provide guarantees to support its operations.

The company's financial assets include trade and other receivables, amounts due from related companies and cash and cash equivalents that derive directly from its operations.

The company is exposed to market risk, credit risk and liquidity risk.
The company's corporate treasury function provides services to the business, co-ordinates access to domestic financial markets, monitors and manages the financial risks relating to the operations of the company through internal risk reports which analyse exposures by degree and magnitude of risks.

The company's treasury function reports monthly to the Group's treasury, a section of the Group that monitors risks and policies implemented to mitigate risk exposures. The Group's treasury reviews and agrees policies for managing each of these risks which are summarized below.

i) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk that affects the company is foreign currency risk and interest rate risk.
Financial instruments affected by market risk include short term borrowings and deposits with financial institutions.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The company's exposure to the risk of changes in foreign exchange rates relates primarily to the company's operating activities (when revenue or expense is denominated in a foreign currency) and certain monetary assets and liabilities denominated in foreign currency mainly trade and other receivables, bank balances, short term borrowings, trade and other payables, and amounts due to and due from related companies.

To manage the foreign exchange risk, the company maintains bank accounts in foreign denominated currencies mainly US dollars and Euro to facilitate transactions in foreign currency. The company also negotiates with its bankers to get favourable exchange rates when converting foreign currencies to the Kenya shilling. The company also purchases its products mainly in US Dollars and mainly buys US Dollars via spot deals as opposed to forward deals.

There has been no change to the company's exposure to market risks or the manner in which it manages and measures the risk.

The main currency exposure that the company is exposed to relate to the fluctuation of the Kenya shilling exchange rates with the US Dollar and Euro currencies.

The carrying amounts of the company's foreign currency denominated monetary assets and liabilities at the end of the reporting period are as follows:

i) Market risk (continued)

	EUR KShs'000	**USD KShs'000**	**Total KShs'000**
31 December 2016			
Assets			
Trade and other receivables	-	5,747,813	5,747,813
Bank balances	71,308	899,891	971,199
Total assets	71,308	6,647,704	6,719,012
Liabilities			
Financial and bank overdrafts	-	(3,875,540)	(3,875,540)
Trade and other payables	(48,979)	(3,003,089)	(3,052,068)
Total liabilities	(48,979)	(6,878,629)	(6,927,608)
Net exposure position	**22,329**	**(230,925)**	**(208,596)**

31 December 2015	EUR KShs'000	USD KShs'000	Total KShs'000
Assets			
Trade and other receivables	4,181	2,015,191	2,019,372
Bank balances	552,870	429,455	982,325
Total assets	557,051	2,444,646	3,001,697
Liabilities			
Financial and bank overdrafts	(298,367)	(3,770,643)	(4,069,010)
Trade and other payables	(1,658,407)	(753,990)	(2,412,397)
Total liabilities	(1,956,774)	(4,524,633)	(6,481,407)
Net exposure position	**(1,399,723)**	**(2,079,987)**	**(3,479,710)**

i) Market risk (continued)

The following sensitivity analysis shows how profit and equity would (decrease)/ increase if the Kenya Shilling had depreciated against the other currencies by 10% at the end of the reporting period with all other variables held constant. The reverse would also occur if the Kenya Shilling appreciated with all other variables held constant.

The US Dollar impact is mainly attributable to the exposure on outstanding US Dollar trade and othe receivables, bank balances, and payables at the year-end. The Euro impact is mainly attributable to the exposure on outstanding Euro bank and payables balances at the year-end.

The sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year-end exposure does not reflect the exposure during the year.

	Profit or loss		Equity	
	2016 KShs'000	**2015 KShs'000**	**2016 KShs'000**	**2015 KShs'000**
USD impact	(23,093)	(207,998)	(16,165)	(145,599)
Euro impact	2,232	(139,972)	1,562	(97,980)

Interest rate risk

The company is exposed to interest rate risk as it borrows funds at both fixed and floating interest rates. The risk is managed by the company by maintaining an appropriate mix between fixed and floating rate borrowings.

The carrying amounts of the company's financial instruments with exposures to interest rates risk are as below:

i) Market risk (continued)

	2016 KShs'000	2015 KShs'000
Short term borrowings (Note 24)	3,804,232	4,069,010

Interest rate sensitivity analysis

The analysis is prepared assuming the amount of liability outstanding at the reporting date was outstanding for the whole year.

If interest rates had been 0.5% higher/lower and all other variables were held constant, the company's profit before tax for the year ended 31 December 2016 would decrease/increase by KShs 19.0 million (2015: by KShs 20.3 million) and the company's equity would decrease/increase by KShs 13.3 million (2015: by KShs 14.2 million). This is mainly attributable to the company's exposure to interest rates on its short-term borrowings.

ii) Credit risk

Credit risk refers to the risk of financial loss to the company arising from a default by counterparty on its contractual obligations. The company's policy requires that it deals only with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available. If not available, the company uses other publicly available financial information and its own trading records to rate its major customers. The company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee.

Trade receivables

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the customers' ability to service the credit advanced to them and, where appropriate, credit guarantee is requested.

The company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The company defines counterparties as having similar characteristics if they are related entities. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

ii) Credit risk (continued)

Cash deposits

Credit risk from balances with banks is managed by the company's treasury department in accordance with the company's policy. Investments of surplus funds are made only with approved banks. The company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2016 and 2015 is the carrying amounts as illustrated below except for financial guarantees. The company's maximum exposure relating to financial guarantees is noted in the liquidity table. The company's maximum exposure to credit risk as at 31 December 2016 and 31 December 2015 is analysed in the table below:

31 December 2016	**Fully Performing**	**Past Due**	**Impaired Amount**	**Total**
	KShs'000	**KShs'000**	**KShs'000**	**KShs'000**
Amounts due from related companies	1,035,039	-	-	1,035,039
Trade receivables				
Network	872,934	-	11,572	884,506
Non-network	7,386,175	-	477,432	7,863,607
	8,259,109	**-**	**489,004**	**8,748,113**
Other receivables	108,740	-	-	108,740
Bank balances	3,524,122	-	-	3,524,122
	12,927,010	**-**	**489,004**	**13,416,014**
31 December 2015				
Amounts due from related companies	1,365,040	-	-	1,365,040
Trade receivables				
Network	457,972	-	96,329	554,301
Non-network	8,355,199	-	377,141	8,732,340
	8,813,171	**-**	**473,470**	**9,286,641**

31 December 2015 Performing	**Fully Due**	**Past Amount**	**Impaired**	**Total**
	KShs'000	**KShs'000**	**KShs'000**	**KShs'000**
Other receivables	86,549	-	-	86,549
Bank balances	2,613,859	-	-	2,613,859
	12,878,619	**-**	**473,470**	**13,352,089**

ii) Credit risk (continued)

The default risk on the customers under the fully performing category is very low as they are active in paying their debts as they continue trading. The impaired amounts have been fully provided for in these financial statements.

Collateral held on trade receivables
The company holds collateral against credit advanced to customers in the form of cash deposits and bank guarantees. Estimates of fair value are based on the value of collateral assessed at the time of advancing the credit and generally are not updated except when a receivable is individually assessed as impaired.

Collateral is usually not held against bank balances and amounts due from related parties, and no such collateral was held at 31 December 2016 or 2015.

Management assessed that the fair value of the collaterals – cash deposits and bank guarantees approximate their carrying amounts largely due to the short-term maturities of these instruments.

An estimate of the fair value of collateral held against financial assets is shown below:

Fair value of collateral held against trade receivables as at 31 December 2016 was:

	2016 **KShs'000'**	**2015** **KShs '000**
Cash deposit collateral		
Network	459,818	345,164
Non-Network	324,371	313,066
Bank guarantees collateral		
Network	216,485	253,585
Non-Network	956,626	1,256,878
Total	**1,957,300**	**2,168,693**

There is no collateral held against cash and cash equivalents.

iii) Liquidity risk

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Included in financing facilities section of this note, is a listing of additional undrawn facilities that the company has at its disposal to further reduce liquidity risk.

Financing facilities

	2016 KShs'000	2015 KShs'000
Unsecured overdraft, including financial overdraft from Total SA Treasury, payable on call and reviewed annually		
Amount used	3,804,232	4,069,010
Amount unused – Total Treasury	6,450,768	6,154,990
Amount unused – Local Banks	14,500,000	14,500,000

The table below shows the breakdown of amounts used with the main banks at the end of the reporting period.

Bank	2016 KShs'000	2015 KShs'000
Total Treasury	**3,804,232**	**4,069,010**

The following table analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date.

At 31 December 2016

	Up to 1 month KShs'000	1-3 months KShs'000	4-12 months KShs'000	> 1 year KShs'000	Total KShs'000
Short term borrowings	3,804,232	-	-	-	3,804,232
Trade payables	7,398,964	-	-	-	7,398,964
Other payables	-	176,363	761,696	-	938,059
Financial guarantees given	-	-	574,877	-	574,877

Total financial liabilities	**11,203,196**	**176,363**	**1,336,573**	**-**	**12,716,132**

At 31 December 2015

	Up to 1 month KShs'000	1-3 months KShs'000	4-12 months KShs'000	> 1 year KShs'000	Total KShs'000
Short term borrowings	4,069,010	-	-	-	4,069,010
Trade payables	7,901,825	-	-	-	7,901,825
Other payables	-	343,783	-	1,036,857	1,380,640
Financial guarantees given	-	-	752,511	-	752,511
Total financial liabilities	**11,970,835**	**343,783**	**752,511**	**1,036,857**	**14,103,986**

31. INCORPORATION

Total Kenya Limited is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act, 2015. The parent company is Total Outre-Mer while the ultimate holding company is Total S.A, both incorporated in France.

32. CURRENCY

The financial statements are presented in thousands of Kenya Shillings.

33. EVENTS AFTER THE REPORTING PERIOD

There are no events that have occurred after the reporting period which require adjustments to, or disclosure in, the financial statements.

FIVE-YEAR SUMMARIZED
STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER	2016 KShs'000'	2015 KShs'000'	2014 KShs'000'	2013 KShs'000'	2012 KShs'000'
ASSETS					
Non-current assets					
Property, plant ,equipment and leases	9,895,169	9,767,181	9,327,855	9,072,768	8,848,764
Goodwill	416,679	416,679	416,679	416,679	416,679
Intangible assets	74,779	87,498	94,006	88,002	61,858
Deferred tax asset	419,295	495,486	463,123	369,452	304,844
Total non-current assets	**10,805,922**	**10,766,844**	**10,301,663**	**9,946,901**	**9,632,145**
Current assets					
Inventories	12,080,556	10,017,977	11,159,064	14,953,214	13,794,942
Other current assets	9,749,124	10,800,290	10,552,539	10,071,877	9,012,764
Cash and cash equivalents	3,525,406	2,615,560	498,965	4,979,505	499,174
Total current assets	**25,355,086**	**23,433,827**	**22,210,568**	**30,004,596**	**23,306,880**
Assets classified as held for sale	24,364	24,364	29,569	32,668	41,579
	25,379,450	23,458,191	22,240,137	30,037,264	23,348,459
TOTAL ASSETS	**36,185,372**	**34,225,035**	**32,541,800**	**39,984,165**	**32,980,604**
EQUITY AND LIABILITIES					
Equity					
Share capital	9,974,771	9,974,771	9,974,771	9,974,771	9,974,771
Share premium	1,967,520	1,967,520	1,967,520	1,967,520	1,967,520
Retained earnings	7,406,999	5,657,455	4,483,132	3,436,769	2,250,385
Total equity	**19,349,290**	**17,599,746**	**16,425,423**	**15,379,060**	**14,192,676**
Non-current liabilities					
Medium term loan	-	-	-	-	-
Trade and other payables	1,426,434	1,244,627	1,192,167	1,117,028	854,765
Total Non-current liabilities	**1,426,434**	**1,244,627**	**1,192,167**	**1,117,028**	**854,765**
Current liabilities					
Trade and other payables	11,605,416	11,311,652	7,583,792	20,993,447	13,772,509
Short term borrowings	3,804,232	4,069,010	7,340,418	2,494,630	4,160,654
Total current liabilities	**15,409,648**	**15,380,662**	**14,924,210**	**23,488,077**	**17,933,163**
TOTAL EQUITY AND LIABILITIES	**36,185,372**	**34,225,035**	**32,541,800**	**39,984,165**	**32,980,604**

FIVE-YEAR SUMMARIZED
STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 DECEMBER	2016 KShs'000'	2015 KShs'000'	2014 KShs'000'	2013 KShs'000'	2012 KShs'000'
Gross sales	110,582,420	138,027,279	170,725,560	154,626,092	119,788,989
Indirect taxes and duties	(21,521,496)	(17,773,285)	(15,623,868)	(12,908,050)	(12,338,455)
Net sales	**89,060,924**	**120,253,994**	**155,101,692**	**141,718,042**	**107,450,534**
Cost of sales	(81,209,334)	(113,263,567)	(148,351,545)	(135,371,011)	(101,577,075)
Gross profit	**7,851,590**	**6,990,427**	**6,750,147**	**6,347,031**	**5,873,459**
Operating expenses and other income	(4,031,357)	(4,139,034)	(4,061,161)	(3,867,221)	(4,350,576)
Finance (costs)/income and net foreign exchange (loss)/gain	115,130	(232,697)	(412,981)	(395,293)	(1,587,184)
Profit/(loss) before tax	**3,935,363**	**2,618,696**	**2,276,005**	**2,084,517**	**(64,301)**
Taxation	(1,701,071)	(1,003,693)	(851,917)	(772,240)	(137,841)
Profit/(loss) for the year	**2,234,292**	**1,615,003**	**1,424,088**	**1,312,277**	**(202,142)**

PROXY FORM

The Secretary
Total Kenya Limited
P.O. Box 30736 - 00100
Nairobi.

I/WE ....

OF ....

Being a member of the above Company, hereby appoint:

....

OF ....

Whom failing ....

OF ....

my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on **Friday, 16th June 2017** and at any adjournment thereof.

As witness my/our hand this ....day of 2017

Signed .... Signed ....

Note:

1. In accordance with Section 298 of the Companies Act, 2015, a Member entitled to attend and vote is entitled to appoint a proxy to attend, to speak and to vote on his/her behalf and a proxy need not be a member of the Company.
2. In the case of a member being a Limited Company this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
3. Proxy Forms must be in the hands of either the Secretary, John Maonga, Maonga Ndonye Associates, Jadala Place, Third Floor, P O Box 73248, 00200 Nairobi, email: jmaonga@maongandonye.com or the Company's Shares Registrars, Comprite Kenya Limited, Crescent Business Centre, 2nd Floor, Off Parklands Road, Nairobi, not less than 48 hours before the time of holding the meeting or any adjournment thereof.

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Energy drives progress where it is readily available. Two of the biggest challenges in building a responsible energy future are ensuring access for all and using energy wisely.

This is the environment in which we conduct our business. With operations in more than 130 countries, we are a leading international oil and gas company. We produce, refine and market oil, manufacture petrochemicals. We are also a world-class natural gas operator and rank second in solar energy with SunPower. Demonstrating their commitment to better energy, our 36,000 employees help supply our csutomers worldwide with safer, cleaner, more efficient and more innovative products that are accessible to as many people as possible. We work alongside our stakeholders to ensure that our operations consistently deliver economic, social and environmental benefits.

TOTAL

Marketing & Services
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